

RORO + oil = FX carry trades?

- The US-Iran conflict has made risk-on risk-off (RORO) a dominant FX theme again. The Iran war hurt market risk appetite and boosted the safe-haven USD in March before the ceasefire propped up investor confidence in April, in a blow to the USD. The RORO theme was intertwined with the expectation that the war could trigger a negative energy supply shock that would hurt the economies of energy importers but support energy exporters. Subsequently, next to the USD, high-yielding G10 currencies of energy exporters like the AUD and NOK have emerged as key winners, boosted in April by growing demand for FX carry trades funded in low-yielding currencies of energy importers like the JPY and CHF.
- Some clients have also noted that the USD's inability to hold on to its early gains went beyond the impact of recovering risk appetite. They link the underperformance to fears about the negative effects from US attempts to 'weaponize the USD'. The Iran war may strengthen the long-term de-dollarisation trend but, so far, we have found no evidence that it has revived the 'Sell America' trade with our flow data analysis pointing at rebounding foreign demand for US stocks in April. Still-high USD FX hedging cost also meant that most of these flows remained unhedged.
- In the near-term, market focus will remain on the US-Iran tensions and their impact on global energy prices and risk sentiment. Next to geopolitical risks, market focus could increasingly shift to the quality of the incoming US data – eg, Non-farm payrolls and services ISM – as well as Fedspeak. The JPY surged yesterday following the first official FX intervention since 2024. The MoF could remain on high alert and exploit the lower liquidity during the Golden Week holiday period and more favourable market positing to intervene again to support the JPY.
- Elsewhere, we think that demand for FX carry trades could remain an important market driver and thus of currencies like the AUD and NOK. We expect the RBA to raise rates next week in what could be another split decision accompanied by dovish rhetoric weighing on the AUD. After telegraphing a return of rate hikes at its March meeting, it is a very close call as to whether the Norges Bank will deliver as soon as next week, while the tightening provided by the strong NOK gains since then may buy the bank a bit more time.



Valentin Marinov

Head of G10 FX Strategy
+44 20 7214 5289
valentin.marinov@ca-cib.com



David Forrester

Senior FX Strategist
+65 6439 9826
david.forrester@ca-cib.com



Alexandre Dolci

FX Strategist
+44 20 7214 5064
alexandre.dolci@ca-cib.com

Click below to experience our new interactive data website:

RED MOUNT Analytics
BY CRÉDIT AGRICOLE CIB

CRÉDIT AGRICOLE
CORPORATE & INVESTMENT BANK

Bloomberg FX forecast ranking
No.1 for G10 FX forecast accuracy in Q1 2025
No.3 for G10 FX forecast accuracy in Q2 2025

	No. 2 (out of 56) EUR/USD - Q1 2026		No. 2 (out of 29) USD/NOK - Q1 2026
	No. 6 (out of 54) USD/JPY - Q1 2026		No. 4 (out of 31) USD/SEK - Q1 2026
	No. 3 (out of 48) EUR/GBP - Q2 2025		No. 6 (out of 53) GBP/USD - Q3 2025
	No. 1 (out of 58) EUR/USD - Q1 2025		No. 1 (out of 41) EUR/CHF - Q1 2025

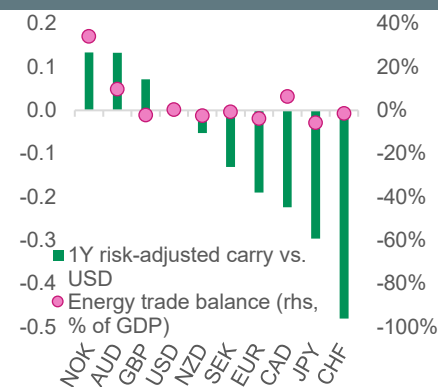
CRÉDIT AGRICOLE
CORPORATE & INVESTMENT BANK



LSEG STARMINE
AWARD FOR
REUTERS POLLS
2024 Winner

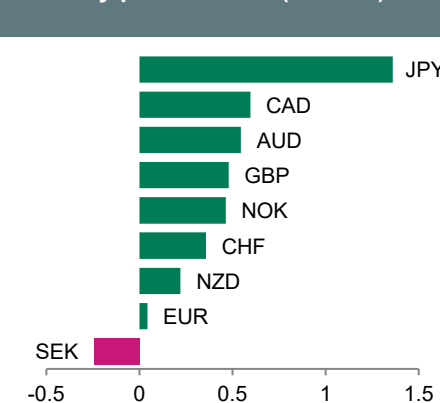
Best Forecaster
FX Scandis

Risk-adjusted carry vs energy trade balances across G10 FX



Source: Crédit Agricole CIB, Bloomberg

Five-day performance (vs USD)



Source: Crédit Agricole CIB, Bloomberg

Latest Publications

- 30 Apr** – FX Risk Index: [Investors sanguine](#)
- 30 Apr** – FX Focus: [USD: flow wars](#)
- 28 Apr** – FX Volatility Mon: [JPY vol lows](#)
- 27 Apr** – FX Positioning: [USD largest long vs NZD still biggest short](#)

G10 FX Forecasts

	Jun-26	Sep-26	Dec-26	Mar-27
EUR/USD	1.14	1.12	1.13	1.13
USD/JPY	156.0	156.0	154.0	154.0
GBP/USD	1.32	1.30	1.31	1.32

Source: Bloomberg, Crédit Agricole CIB



CRÉDIT AGRICOLE
CORPORATE & INVESTMENT BANK

FX and gold outlook



The EUR should continue to trade as collateral damage of global geopolitical risks. We are still bearish on EUR/USD from current levels but expect ECB hikes to limit the downside risks to a degree in the coming months. Subdued growth prospects and loss of international competitiveness should continue to hurt the appeal of EUR-denominated assets. US tariffs and domestic-demand-driven growth policies in the Eurozone (eg, German fiscal stimulus) should hurt Eurozone net exports & reduce corporate demand for the EUR and thus keep EUR/USD historically depressed in the longer term. Many positives seem to already be in the price of EUR/USD as highlighted by our long-term fair value model.



The high-yielding, safe-haven King of FX should remain supported even if geopolitical risks in the Middle East start abating, given that we expect the US economy to outperform many European and Asian economies. Resilient economic outlook and sticky inflation should challenge the still-dovish market Fed outlook. US policy uncertainty could persist, but we think that the US and USD exceptionalism narrative remains in place. FX investors may await evidence that foreign portfolio inflows into the US continue before buying the USD though. Bear-flattening of the USD yield curve could keep USD hedging costs prohibitively high and boost the share of unhedged portfolio inflows into the US. We also expect a pick-up of FDI inflows and further think that the Fed will remain institutionally independent while a Mar-a-Lago accord to depreciate the USD need not materialise. Lastly, the USD is still the world's preeminent reserve fiat currency; credible alternatives are lacking.



The CHF has hit new decade highs against the EUR and USD on the back of sustained safe-haven demand, and the SNB has had to step up its line of defence against undue CHF strength. EUR/CHF's 0.90 looks like a line in the sand the market seems willing to respect, while reduced geopolitical threats and a subsequent risk recovery would be needed for the CHF to give up more ground.



We continue to expect that PM Sanae Takaichi's policies will weigh on the JPY (1) by holding back BoJ rate hikes; and (2) through higher fiscal spending, boosting the Nikkei. The negative terms-of-trade shock from higher oil prices due to the Middle East conflict are adding weight to the JPY. The BoJ and government's comfort zone for USD/JPY is 150-160 as this does not add significantly to inflation and keeps the JPY weak enough to support exports & corporate profits, without attracting the ire of President Donald Trump. Moves in USD/JPY above 160 would raise the risk of intervention (potentially in tandem with the US) as well as a faster pace of BoJ rate hikes. Inflation is a big voter issue in Japan and so Takaichi cannot ignore strong inflation, especially if it is due to a weak JPY.



We maintain a cautious GBP/USD outlook from current levels that is consistent with our above-consensus view on the USD. The GBP could remain vulnerable if persistent stagflation risks fuel concerns about the UK economic and fiscal outlook. The BoE may not be able to prop up the UK economy or help ease the government fiscal burden either. All that being said, we believe that many negatives are already priced into the GBP especially vs the EUR, given that the Eurozone would have to deal with the consequences from a negative oil supply shock as well. We further note that the GBP is already looking quite oversold while global investors seem underinvested in UK assets. On the more positive side, we expect that the fiscal policies announced as part of the autumn statement could help boost the UK's sovereign creditworthiness.



USD/CAD has been well anchored within 1.35/1.40 for the best part of almost a year, with the CAD coping well with the USD resurgence thanks in part to the positive terms-of-trade shock for Canada. Yet, the upcoming USMCA review could tilt the balance of risks rather to the upside in the near term.



The RBA's rate hike cycle is leading the rest of the G10, helping AUD/USD maintain an upward trajectory in H126. The positive terms-of-trade shock from higher global energy prices are somewhat insulating the currency from the Middle East conflict. The Fed holding off cutting rates further & a strong USD will limit AUD/USD upside and bring it modestly lower in H226.



We expect a bounce in NZ's economy & building prospects of RBNZ rate hikes in H226, as strong soft commodity prices and a reduction in US equity market outperformance relative to Asia should lead to a slow grind higher in NZD/USD in 2026. Higher oil prices are a significant negative terms-of-trade shock, however, and are holding the currency back as well as generating downside risks to our forecasts if the conflict in the Middle East continues.



The NOK is one of the best-performing G10 currencies so far this year, having been lifted by a more hawkish Norges Bank and a rally in energy prices. YTD gains have exceeded our already very bullish NOK call and may be due a pause in the near term, while more remains needed for the NOK to correct its long-term undervaluation.



The SEK has struggled this year after outperforming in 2025. Risks of a wider policy gap between the Riksbank and the ECB could leave the SEK on the back foot in the near term, while more convincing evidence of Sweden's macro outperformance over the Eurozone is needed for the SEK to reverse course later in the year.



Gold should remain supported by lingering market worries that the combination of growing government borrowing & sticky inflation in G10 will make it difficult to find buyers for the ballooning public debt. Fears about fiscal dominance over the Fed could also weigh on US real yields some more, in another boost to XAU. It would take a renewed rebound of the US economic outlook and higher real US rates & yields to dent the XAU's strength in 2026.

G10 FX Portfolio

See below our model portfolio. A percentage representation of the positions' performance is applied for both FX spot and options trade ideas. A cap on individual position loss of 2% of notional is used. Other aspects of the performance calculation including position size, total overall position loss and cumulative portfolio performance are adjusted accordingly. Please see [Our FX portfolio: performance of the past, adjustment for the future](#) for further details. Please note that our G10 FX portfolio combines discretionary and systematically motivated trades, with the same risk management applied. For details on our systematic approach please see our [FAST FX](#) and [Month-end Rebalancing Model](#) fact sheets.

Open Spot Trades							
Date	Time	Entry	Recommendation	Target	Stop	Last	P&L
Open Options Trades							
Date	Time	Option cost **	Recommendation	Strike	Spot ref	Expiry	P&L*
09/01/2026	08:00 GMT	0.33%	Long EURUSD 4M put spread	1.15/1.13	1.1650	11/05/2026	-1.83%
08/12/2025	09:30 GMT	0.55%	Long EUR/JPY 6M put spread	176/172	181.13	08/06/2026	-1.80%
Closed Spot Trades							
Open date	Time	Entry	Recommendation	Close date	Close time	Exit level	P&L
13/02/2026	7:50 GMT	1.1719	Sell AUD/NZD	02/03/2026	23:39 GMT	1.1950	-2.07%
Closed Options Trades							
Date	Time	Option cost **	Recommendation	Strike	Spot ref	Expiry	P&L*
FAST FX (tactical) Portfolio***							
Open Spot Trades							
Date	Time	Entry	Recommendation	Target	Stop Loss	Last	P&L
27/04/2026	09:00 BST	0.9931	Sell NOK/SEK	0.9759	-1.22%	0.9960	-0.48%
Closed Spot Trades							
Open date	Time	Entry	Recommendation	Close date	Close time	Exit level	P&L
20/04/2026	09:00 BST	0.9810	Sell NOK/SEK	23/04/2026	22:00 GMT	0.9920	-2.00%
16/03/2026	09:00 GMT	0.8637	Buy EUR/GBP	20/03/2026	22:00 GMT	0.8674	0.96%
09/03/2026	09:00 GMT	0.8659	Buy EUR/GBP	13/03/2026	22:00 GMT	0.8630	-0.76%
09/03/2026	09:00 GMT	0.9611	Buy NOK/SEK	10/03/2026	08:15 GMT	0.9466	-1.99%
23/02/2026	09:00 GMT	0.7084	Sell AUD/USD	27/02/2026	22:00 GMT	0.7118	-0.48%
23/02/2026	09:00 GMT	10.6743	Buy EUR/SEK	27/02/2026	22:00 GMT	10.6664	-0.12%
G10 FX Positioning Index (tactical) Portfolio***							
Open Spot Trades							
Date	Time	Entry	Recommendation	Target	Stop Loss	Last	P&L
Closed Spot Trade							
Open date	Time	Entry	Recommendation	Close date	Close time	Exit level	P&L
30/03/2026	09:00 GMT	9.4929	Sell USD/SEK	03/04/2026	22:00 GMT	9.4296	0.67%
30/03/2026	09:00 GMT	0.7999	Buy USD/CHF	03/04/2026	21:00 BST	0.7988	-0.10%
23/03/2026	09:00 GMT	9.4157	Sell USD/SEK	27/03/2026	22:00 GMT	9.4698	-0.57%
23/03/2026	09:00 GMT	0.7907	Buy USD/CHF	27/03/2026	22:00 GMT	0.7989	1.46%
16/03/2026	09:00 GMT	9.4227	Sell USD/SEK	20/03/2026	22:00 GMT	9.3545	0.72%
16/03/2026	09:00 GMT	1.3250	Buy GBP/USD	20/03/2026	22:00 GMT	1.3311	0.46%
09/03/2026	09:00 GMT	9.2715	Sell USD/SEK	13/03/2026	22:00 GMT	9.4607	-2.04%
09/03/2026	09:00 GMT	1.3316	Buy GBP/USD	13/03/2026	22:00 GMT	1.3240	-0.57%
02/03/2026	09:00 GMT	9.1516	Sell USD/SEK	05/03/2026	22:00 GMT	9.3384	-2.04%
Month-end Rebalancing Model (tactical) Portfolio***							
Open Spot Trades							
Date	Time	Entry	Recommendation	Target	Stop Loss	Last	P&L
Closed Spot Trades							
Open date	Time	Entry	Recommendation	Close date	Close time	Exit level	P&L
24/11/2025	08:00 GMT	1.3091	Short GBP/USD	26/11/2025	15:00 GMT	1.3222	-2.00%
24/09/2025	08:00 BST	1.1788 / 0.8734	Long EUR vs USD & GBP basket	30/09/2025	17:00 BST	1.173 / 0.87283	-0.76%
25/07/2025	08:00 BST	1.1749/0.87101	Long EUR VS USD & GBP basket	28/07/2025	16:45 BST	1.1610 / 0.8668	-2.00%
Portfolio Performance							
Return on open trades							-4.09%
Return on closed trades (YTD)							-12.73%
Hit ratio (YTD)							39.47%
Total return (YTD)							-16.82%

*Returns calculated as %VaR with 2% risk allocation per trade

**Cost is a percentage of the notional value traded

Source all tables: Crédit Agricole CIB

FX Portfolio in 2025

Closed Spot Trades							
Open date	Time	Entry	Recommendation	Close date	Close time	Exit level	P&L
01/08/2025	10:30 BST	184.40	Sell CHF/JPY	13/03/2026	02:16 BST	187.38	-0.80%
10/03/2025	11:40 GMT	0.877 / 146.95	Long USD vs JPY & CHF	10/04/2025	16:45 BST	0.826 / 144.14	-2.00%
Closed Options Trades							
Open date	Time	Option cost **	Recommendation	Strike	Spot ref	Expiry	P&L*
08/08/2025	15:50 BST	0.20%	Long EURGBP 3M put spread	0.86/0.85	0.8674	11/10/2025	-2.00%
13/08/2025	16:00 GMT	0.53%	Long EURAUD 3M put spread	1.70/1.65	1.7320	13/08/2025	-2.00%
08/04/2025	15:30 BST	0.35%	Long EURGBP 3M put spread	0.845/0.83	0.8540	08/07/2025	-2.00%
Closed FAST FX Spot Trades							
Open date	Time	Entry	Recommendation	Close date	Close time	Exit level	P&L
16/02/2026	09:00 GMT	153.3500	Buy USD/JPY	20/02/2026	22:00 GMT	155.0500	0.95%
16/02/2026	09:00 GMT	0.7094	Sell AUD/USD	20/02/2026	22:00 GMT	0.7081	0.16%
16/02/2026	09:00 GMT	10.5863	Buy EUR/SEK	20/02/2026	22:00 GMT	10.6730	1.60%
16/02/2026	09:00 GMT	181.9500	Buy EUR/JPY	20/02/2026	22:00 GMT	182.6800	0.45%
09/02/2026	09:00 GMT	0.7037	Sell AUD/USD	13/02/2026	22:00 GMT	0.7073	-0.44%
09/02/2026	09:00 GMT	10.6686	Buy EUR/SEK	12/02/2026	22:00 GMT	10.5781	-2.00%
02/02/2026	09:00 GMT	10.5684	Buy EUR/SEK	06/02/2026	22:00 GMT	10.6018	1.96%
02/02/2026	09:00 GMT	0.6947	Sell AUD/USD	06/02/2026	22:00 BST	0.7013	-0.78%
26/01/2026	09:00 GMT	10.5799	Buy EUR/SEK	30/01/2026	22:00 BST	10.5689	-0.22%
26/01/2026	09:00 GMT	0.5970	Sell NZD/USD	30/01/2026	22:00 BST	0.6021	-0.58%
19/01/2026	09:00 GMT	10.7286	Buy EUR/SEK	23/01/2026	22:00 BST	10.6396	-1.99%
12/01/2026	09:00 GMT	10.7193	Buy EUR/SEK	16/01/2026	22:00 BST	10.6944	-0.55%
12/01/2026	09:00 GMT	0.9118	Buy NOK/SEK	16/01/2026	22:00 BST	0.9136	-0.50%
05/01/2026	09:00 GMT	156.8450	Sell USD/JPY	09/01/2026	22:00 BST	157.89	-0.70%
05/01/2026	09:00 GMT	183.2400	Sell EUR/JPY	09/01/2026	22:00 BST	183.75	-0.42%
15/12/2025	09:00 GMT	0.5780	Buy NOK/SEK	19/12/2026	22:00 BST	0.5757	-0.32%
01/12/2025	09:00 GMT	0.5735	Buy NZD/USD	05/12/2025	22:00 BST	0.5776	0.53%
10/11/2025	09:00 GMT	0.5646	Buy NZD/USD	14/11/2025	22:00 BST	0.5682	0.59%
13/10/2025	09:00 BST	0.5737	Buy NZD/USD	17/10/2025	22:00 BST	0.5725	-0.21%
08/09/2025	09:00 BST	1.3817	Sell USD/CAD	12/09/2025	22:00 BST	1.3844	-0.33%
08/09/2025	09:00 BST	0.5926	Buy NZD/USD	12/09/2025	22:00 BST	0.5954	0.53%
Closed Positioning FX Trades							
Open date	Time	Entry	Recommendation	Close date	Close time	Exit level	P&L
23/02/2026	09:00 GMT	9.5335	Buy USD/NOK	27/02/2026	22:00 GMT	9.5100	-0.33%
23/02/2026	09:00 GMT	9.035	Sell USD/SEK	27/02/2026	22:00 GMT	9.0292	0.10%
16/02/2026	09:00 GMT	9.5096	Buy USD/NOK	20/02/2026	22:00 GMT	9.5268	0.24%
02/02/2026	09:00 GMT	1.3689	Sell GBP/USD	06/02/2026	22:00 GMT	1.3610	0.58%
26/01/2026	09:00 GMT	1.3664	Sell GBP/USD	30/01/2026	22:00 GMT	1.3686	-0.16%
19/01/2026	09:00 GMT	0.6696	Sell AUD/USD	23/01/2026	22:00 GMT	0.6796	-2.00%
19/01/2026	09:00 GMT	1.3407	Sell GBP/USD	23/01/2026	22:00 GMT	1.3644	-1.76%
29/09/2025	09:00 BST	1.3448	Sell GBP/USD	03/10/2025	22:00 BST	1.3497	-0.23%
15/09/2025	09:00 BST	9.8502	Buy USD/NOK	19/09/2025	22:00 BST	9.9445	1.28%
08/09/2025	09:00 BST	1.3817	Sell USD/CAD	12/09/2025	22:00 BST	1.3844	-0.33%
18/08/2025	09:00 BST	1.35	Buy GBP/USD	22/08/2025	22:00 BST	1.35	-0.09%
11/08/2025	09:00 BST	1.3452	Buy GBP/USD	15/08/2025	22:00 BST	1.3556	0.77%
30/06/2025	09:00 BST	1.1727	Sell EUR/USD	04/07/2025	22:00 BST	1.1778	-0.43%
02/06/2025	09:00 BST	0.6021	Sell NZD/USD	06/06/2025	22:00 BST	0.6016	0.08%
19/05/2025	09:00 BST	1.1242	Buy EUR/USD	23/05/2025	22:00 BST	1.1364	1.05%
12/05/2025	09:00 BST	1.3973	Buy USD/CAD	16/05/2025	22:00 BST	1.3968	-0.01%
12/05/2025	09:00 BST	0.8452	Buy USD/CHF	16/05/2025	22:00 BST	0.8327	-1.88%
28/04/2025	09:00 BST	10.4260	Sell USD/NOK	02/05/2025	22:00 BST	10.4125	0.17%
28/04/2025	09:00 BST	0.8314	Buy USD/CHF	02/05/2025	22:00 BST	0.8266	-0.68%
14/04/2025	09:00 BST	10.5790	Sell USD/NOK	18/04/2025	22:00 BST	10.4785	1.27%
14/04/2025	09:00 BST	0.5876	Buy NZD/USD	18/04/2025	22:00 BST	0.5937	1.02%
Closed Month-End FX Spot Trades							
Open date	Time	Entry	Recommendation	Close date	Close time	Exit level	P&L
24/06/2025	08:00 BST	1.1604/0.8544	Long EUR vs USD & GBP Basket	30/06/2025	17:00 BST	1.1769 / 0.8577	2.33%
26/05/2025	08:00 BST	-	Short USD basket	27/05/2025	16:55 BST	-	-2.00%
25/03/2025	08:00 GMT	1.2908	Short GBP/USD	31/03/2025	17:00 BST	1.2898	0.15%

*Returns calculated as %VaR with 2% risk allocation per trade

**Cost is a percentage of the notional value traded

Source all tables: Crédit Agricole CIB

FX Focus

This is a reproduction of [USD: flow wars](#) published 30 April 2026

- The US-Iran ceasefire in early April gave risk sentiment an initial boost, reignited the Trump Always Chickens Out (TACO) trade and sent the USD weaker across the board. With the conflict unresolved and oil reserves dwindling, however, global energy prices have risen again more recently, helping the USD recover. We maintain a broadly constructive view on the currency from here:
 - We think that investors may be overly optimistic about the prospects for a quicker abatement of the Middle Eastern tensions. A continuing blockade of the flow of energy could hurt global growth prospects and erode investors' risk appetite, in a boost to the safe-haven USD.
 - We expect the US economy to outperform the economies of energy importers even if the US-Iran tensions are resolved. This much could keep global equity investors invested in the US. While worries about the US fiscal outlook may resurface, the resilient growth backdrop should offset these to a degree as was the case in 2025.
 - We believe that the Fed would remain on hold for an extended period under Kevin Warsh because the war in Iran could keep US inflation uncomfortably high in the next 12M. Persistent stagflation risks can also make the ECB and BoJ reluctant to hike rates aggressively. The USD rate advantage and thus the costs of short-USD hedges should remain considerable.
- Some clients have observed that the USD gains at the start of the Iran war proved to be short-lived even vs currencies of energy importers like the EUR and GBP. In their view, the underperformance at least partly reflects market fears about the negative impact of US policies on the USD – not the least given Iran's decision to levy tolls in CNY on ships passing through the Strait of Hormuz. The Iran war has further hurt the US fiscal outlook and thus could undermine the UST appeal.
- Our FX flow data analysis does not support the view that the Middle East tensions have reignited the 'Sell America' trade, however. We found evidence that foreign demand for US equities has recovered in the wake of the US-Iran ceasefire. This was in stark contrast with persistent outflows from the Eurozone stock markets. High USD hedging costs further meant that the US portfolio inflows remain largely unhedged.
- The USD could continue to draw support from (unhedged) equity and FDI inflows into the US as foreign investors are attracted to US technology stocks and the economy's superior growth prospects. These flows could continue to dwarf UST flows as well and thus limit the USD impact from any fiscal concerns. A less dovish Fed outlook should also continue to boost the USD rate appeal and keep it supported vs G10 low-yielders.

The war in Iran, the ceasefire and all that

The US-Iran ceasefire in early April gave risk sentiment an initial boost, reignited the Trump Always Chickens Out (TACO) trade and sent the USD weaker. With the conflict unresolved and oil reserves dwindling, however, global energy prices have risen again more recently, helping the USD recover. We maintain a broadly constructive view on the currency from here:

1. We think that **investors may be overly optimistic about the prospects for a quicker abatement of the Middle Eastern tensions**. A continuing blockade of the flow of energy **could hurt global growth prospects and thus erode investors' risk appetite, in a boost to the safe-haven USD**.
2. We expect the **US economy to outperform the economies of energy importers even if the US-Iran tensions are resolved**. This much could **keep global equity investors invested in the US**. While worries about the

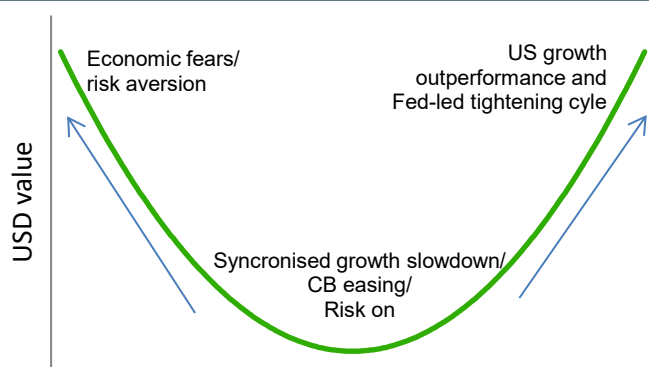
US fiscal outlook may resurface, the resilient growth backdrop should offset these to a degree as was the case in 2025.

3. We believe that **the Fed would remain on hold for an extended period under Kevin Warsh because the war in Iran could keep US inflation uncomfortably high in the next 12M**. At the same time, persistent stagflation risks can also make the ECB and BoJ reluctant to hike rates aggressively. The USD rate advantage and thus the costs of short-USD hedges should remain considerable

Is the USD smile dead or are the reports are exaggerated?

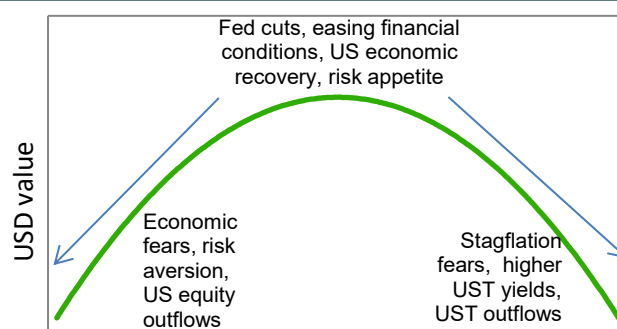
Some clients have observed that the USD gains at the start of the Iran war proved to be short-lived even vs currencies of energy importers like the EUR and GBP. In their view, the underperformance at least partly reflects market fears about the negative impact of US policies on the USD – especially given Iran's decision to levy tolls in CNY on ships passing through the Strait of Hormuz. Investors worry that attempts by the Trump administration to 'weaponize' the USD through tariffs and sanctions could encourage foreign investors to shun the currency. This has further fuelled concerns that the 'Sell America trade' could rear its ugly head again and, as a result, the USD smile would morph into a USD frown (Figure 1 and 2).

Fig 1. From USD smile to...



Source: Crédit Agricole CIB

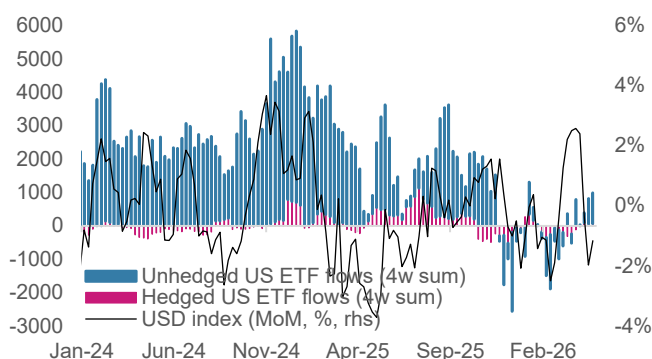
Fig 2....USD frown (sell America trade)



Source: Crédit Agricole CIB

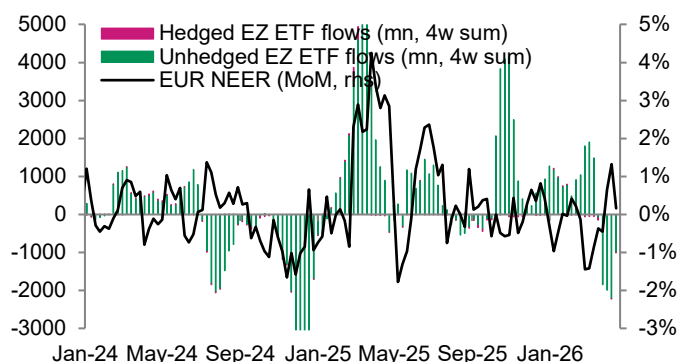
Our FX flow data analysis does not support the view that the Middle East tensions have rekindled the 'Sell America' trade, however. If anything, we find evidence that foreign demand for US equities has recovered in the wake of the US-Iran ceasefire (Figure 3).

Fig 3. Foreign demand for US (technology) stocks has recovered swiftly following the US-Iran ceasefire



Source: Crédit Agricole CIB, Bloomberg

Fig 4. Growth concerns in the wake of the Iran war led to outflows from Eurozone stock markets, however

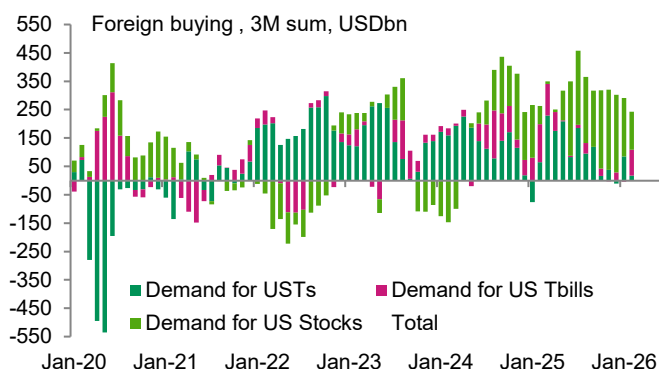


Source: Crédit Agricole CIB, Bloomberg

The equity portfolio inflows contrasted with the equity outflows from the Eurozone over the same period (Figure 4). We expect this divergence to persist given the lingering appeal of US technology companies and the worsening growth concerns in the Eurozone. We further note that most US equity inflows remain unhedged

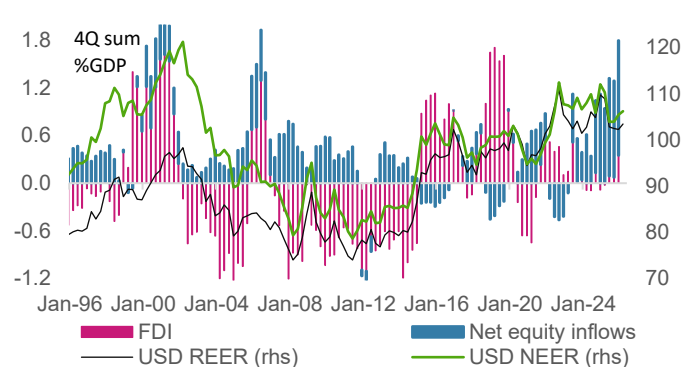
because USD hedging costs remain very high. This could remain the case going forward especially if the Fed delays any rate cuts in the face of sticky US inflation.

Fig 5. Foreign demand for long-term US financial assets was dominated by buying of stocks not USTs



Source: Crédit Agricole CIB, Bloomberg

Fig 6. Strong foreign inflows into the US stock market plus growing inbound FDI bode well for the USD



Source: Crédit Agricole CIB, Bloomberg

The Iran war has also hurt the US fiscal outlook, and a continuation of the conflict could lead to further widening of its fiscal deficit, in a blow to the UST appeal. We doubt that a potential slowdown of foreign demand for USTs would be detrimental for the USD, given that most of recent portfolio inflows have been in the US equity rather than fixed income markets, according to recent TIC data (Figure 5). We also note that net foreign direct investment (FDI) inflows into the US have intensified as well, according to the latest US balance of payments data (Figure 6). We expect this trend to continue in part because of the trade policies of the Trump administration. Given that most of these flows are unhedged they could continue to exhibit strong positive correlation with the USD.

Conclusions

In conclusion, we think that:

- 1. The USD underperformance for most of April can be explained mainly by weaker demand for safe-havens. That demand has been strengthening more recently, however.**
- 2. Using the USD-smile template to analyse the recent FX price action, we believe that the USD 'climbed' the left-hand side of the smile in the wake of the war in Iran in March before 'sliding down' once again following the announcement of the US-Iran ceasefire in early April (Figure 1). Any renewed escalation of the US-Iran tensions could allow the USD to ride the wave of risk aversion, climbing the USD smile once again.**
- 3. The USD should also continue to draw support from equity and FDI inflows into the US as well as its still considerable rate appeal across G10. These factors could allow the currency to start 'climbing' the right-hand side of the USD smile in the event we get a more lasting peace in Iran and a more sustained recovery of risk sentiment.**

FX Focus recent publications

Release	Publication	Link
30/04/2026	FX Focus	USD: flow wars
28/04/2026	FX Volatility Monitor	JPY vols run to the lows
15/04/2026	FX Volatility Monitor	Flying under the radar?
30/03/2026	FX Presentation	2026 FX market outlook: "Things can only get better?"
30/03/2026	FX Focus	The Iran War and out FX forecasts: winners and losers
16/03/2026	FX Focus	The war in Iran and EUR/USD – assessing the impact
10/03/2026	FX Focus	CHF: Surrendering Neutral Bliss
04/03/2026	FX Focus	Introducing Crédit Agricole CIB's FX gamma calendar
02/03/2026	FX Volatility Monitor	Contained escalation
26/02/2026	FX Focus	AUD: dancing on the ceiling and our forecast
17/02/2026	FX Volatility Monitor	Too much steepness in G10 FX vols?
13/02/2026	FX Focus	EUR: more expensive than you think
10/02/2026	FX Focus	Japan's election, Sanaenomics unbound & our JPY forecasts
04/02/2026	FX Focus	No 'sell America trade' but some short-USD hedging
27/01/2026	FX Focus	Upgrading our gold outlook
22/01/2026	FX Focus	The election, Sanaenomics and the JPY
21/01/2026	FX Volatility Monitor	Not ceding to Liberation Day like turmoil
02/12/2025	FX Presentation	2026 FX outlook: things can only get better
02/12/2025	FX Focus	2026 FX outlook: things can only get better
10/11/2025	FX Focus	JPY: Sanaenomics & our forecast
03/11/2025	FX Focus	GBP: near-term forecast downgrade but outlook remains more constructive for 2026
15/10/2025	FX Volatility Monitor	En garde, still?
07/10/2025	FX Focus	JPY: Takaichi's win & our forecasts
30/09/2025	FX Presentation	FX market outlook: "The USD is down but not out"
29/09/2025	FX Focus	CHF and NZD forecast update
23/09/2025	FX Focus	JPY: the LDP presidential election & our forecasts
18/09/2025	FX Focus	XAU: Forecast upgrade amid Goldilocks
11/09/2025	FX Focus	Diversification flows out of the US and the USD revisited
03/09/2025	FX Focus	French politics: scenarios and market impact
28/08/2025	FX Focus	AUD: Australia's productivity puzzle & our forecasts
14/08/2025	FX Volatility Monitor	Fighting the summer lull
08/08/2025	FX Focus	JPY: geopolitics, politics and our forecasts
16/07/2025	FX Focus	GBP outlook update: pounded
10/07/2025	FX Focus	CAD, CHF, NOK, NZD and SEK forecast update
01/07/2025	FX Focus	JPY: a July jump?
25/06/2025	FX Focus	EUR: outlook upgrade for the 'anti-dollar'
17/06/2025	FX Focus	US trip notes: Dollar, Dolor, Dolores
10/06/2025	FX Volatility Monitor	Tariff Angst Coming Off?
23/05/2025	FX Presentation	FX market outlook: "USD-correction, not a collapse"
21/05/2025	FX Focus	(Another) USD outlook downgrade
06/05/2025	FX Focus	The twilight of US exceptionalism and the USD: a tale of two (or three) capital flows
30/04/2025	FX Focus	AUD: Australia's election – Much Ado About Nothing?
22/04/2025	FX Focus	Introducing our upgraded month-end rebalancing and corporate flow model
02/04/2025	FX Volatility Monitor	Free trade anyone?
31/03/2025	FX Presentation	FX market outlook: "Trading places"
20/03/2025	FX Focus	Downgrading our below-consensus USD outlook
05/03/2025	FX Volatility Monitor	Coming to realise the world has changed

Week ahead: key themes & trades



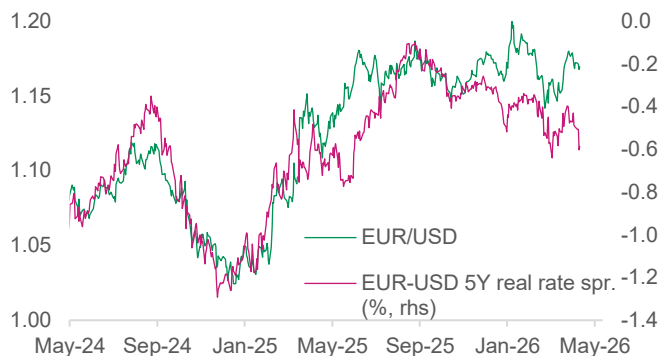
EUR: real vs nominal. The ECB kept its rates unchanged in April and further remained noncommittal with respect to any potential rate hikes from here. The bank has acknowledged that the stagflation risks looming over the Eurozone outlook have intensified since the March meeting but stressed that the upside risks to inflation are so far offset by downside risks to growth. During her press-conference, the ECB President Christine Lagarde further signalled that the ECB may be in a better position to decide on policy rates at its June meeting. The communication nevertheless disappointed the EUR-bulls who seemed to expect a somewhat more hawkish forward guidance from the ECB.

We believe that the EUR outlook from here could increasingly depend on the relative growth outlook in the Eurozone. The latter should increasingly suffer from the negative energy terms-of-trade shock triggered by the war in Iran. The impact from the weaker growth outlook on EUR/USD could come from two key channels: (1) more negative EUR-USD real rate spread; and (2) persistent underperformance of Eurozone stocks vs their US counterparts. While the ECB rhetoric and persistent rate hike expectations could help ease some of the downside pressure on the EUR by limiting its nominal rate disadvantage, we expect EUR/USD to remain on a downtrend in the coming months.

In the near term, FX investors will continue to focus on the latest developments surrounding the conflict in the Middle East. EUR/USD could thus continue to follow the broad USD moves across the board. The Eurozone data calendar next week is relatively light with only the final PMIs for April on the docket. FX market participants will continue to assess the timing of the next ECB rate move and will scrutinise speeches by the ECB's Philip Lane, Francois Villeroy, Martin Kocher, Fabio Panetta, Luis de Guindos, Isabel Schnabel, Primož Dolenc and Gediminas Simkus.

FX investors will continue to focus on the latest developments surrounding the conflict in the Middle East. EUR/USD could thus continue to follow the broad USD moves across the board. The Eurozone data calendar next week is relatively light with only the final PMIs for April on the docket. FX market participants will continue to assess the timing of the next ECB rate move and will scrutinise speeches by several Governing Council members

EUR/USD vs EUR-USD real rate spread



Source: Crédit Agricole CIB, Bloomberg

EUR/USD vs ratio: Eurozone vs US stocks



Source: Crédit Agricole CIB, Bloomberg

valentin.marinov@ca-cib.com



USD: high-yielding, safe-haven. The US-Iran war and ceasefire were the two key FX events recently. The former eroded market risk appetite and helped the safe-haven USD rally in March before the latter propped up investor confidence in April, in a blow to the USD. The risk-on risk-off (RORO) theme was intertwined with the expectation that the Iran war would trigger a negative energy supply shock that can hurt the economies of energy importers but help energy exporters. As a result, high-yielding currencies of energy-exporters like the AUD and NOK have emerged as the other big winners from the US-Iran ceasefire, boosted by growing demand for FX carry trades funded in low-yielding currencies of energy importers like the JPY, CHF and EUR.

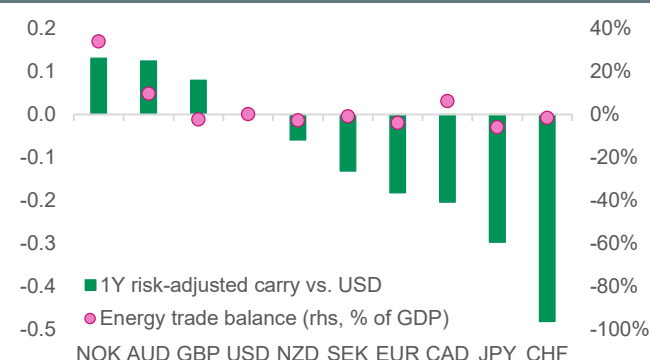
Some clients have also noted that the USD's inability to hold on to its earlier gains in April went beyond the negative impact from recovering risk appetite. They attribute the underperformance to market fears about the negative impact of the

In the near term, next to the latest Middle Eastern developments, FX market focus could increasingly shift to the quality of the incoming US data – eg, Non-farm payrolls and services ISM – as well as Fed speak. We believe that the releases can highlight the persistent resilience of the US economy and the fact that, as a result, Fed officials continue to think that its current policy stance is appropriate despite the stagflation risks ahead. As a result, the USD should continue to draw support from its considerable rate appeal across G10

US policies on the USD that were made worse by Iran's decision to levy tolls in CNY on ships passing through the Strait of Hormuz. The Iran war is also seen as negative for the US fiscal outlook and thus could undermine the UST appeal. We find no evidence that the US-Iran conflict has rekindled the 'Sell America' trade, however. Our flow data analysis shows that foreign demand for US stocks has recovered in recent weeks while still high FX hedging cost mean that most of these flows remain unhedged.

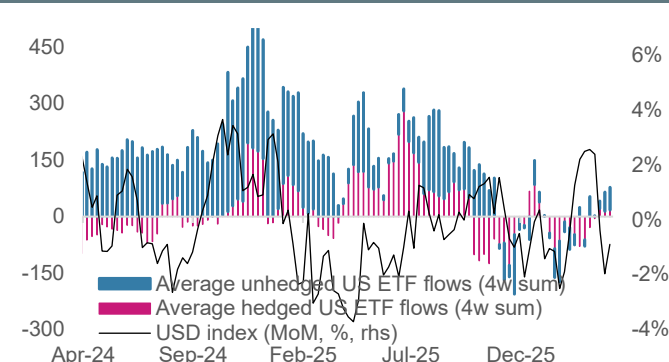
In the near-term, market focus will remain on the US-Iran tensions and their impact on global energy prices and risk sentiment. Next to the latest Middle Eastern developments, FX market focus could increasingly shift to the quality of the incoming US data – eg, Non-farm payrolls and services ISM – as well as Fedspeak. We believe that the releases can highlight the persistent resilience of the US economy and the fact that, as a result, Fed officials continue to think that its current policy stance is appropriate despite the stagflation risks ahead. The USD should thus continue to draw support from its considerable rate appeal across G10 as well as persistent equity inflows.

Risk-adjusted carry vs energy trade balances across G10 FX



Source: Crédit Agricole CIB, Bloomberg

Foreign investors have stepped up their purchases of US stocks once again



Source: Crédit Agricole CIB, Bloomberg

valentin.marinov@ca-cib.com



CHF: eyeing new heights. Not for the currency itself, but for its rate disadvantage relative to peers, as for instance the 1Y ESTR-SARON spread has widened to fresh highs just shy of 250bp in recent days. Such a move has been spurred by renewed upside pressures in energy prices on the back of deadlocked US-Iran discussions and concerns that hostilities could reignite in the region. As that has in the meantime not dramatically dampened global risk appetite, and regular safe havens have not particularly shined, the CHF has just whipsawed, with EUR/CHF hovering over 0.92. In light of these two opposite forces, the CHF could thus continue to tread carefully in the near term, until the situation in the Middle East eventually gets clearer. While global factors should remain centre stage, attention could temporarily shift next week onto the busier load of Swiss macro data at the start of the month. Tuesday's CPI data for April is set to register a further pick-up in headline inflation, after last month's increase in gasoline prices proved a bit more muted than initially thought. At this stage, the SNB's central case of headline inflation rising just above 0.5% YoY does not appear under serious threat yet, while the continued cooling in core CPI near multi-year lows could offer policymakers greater comfort. On Thursday, the SNB is due to publish its latest FX reserves figures as of the end of April. Once again large gyrations in the value of underlying assets in the month would make it difficult to infer any eventual interventions in wholesale markets, while the fact that EUR/CHF has kept a good distance from the 0.90 handle may have seen less involvement from the central bank.

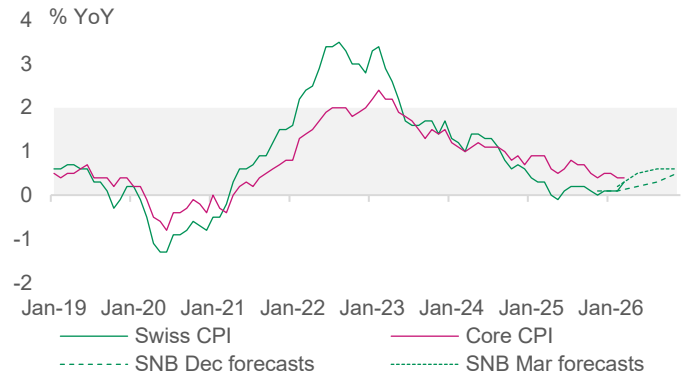
Prospects of wider policy divergence between the SNB and other major central banks have weakened the CHF somewhat, while safe-haven demand remains pretty subdued

Short EUR-CHF rate spreads have recently reached new highs



Source: Crédit Agricole CIB, Bloomberg

Contained rise in Swiss CPI to keep the SNB at bay of tightening central banks



Source: Crédit Agricole CIB, Bloomberg, SNB

alexandre.dolci@ca-cib.com



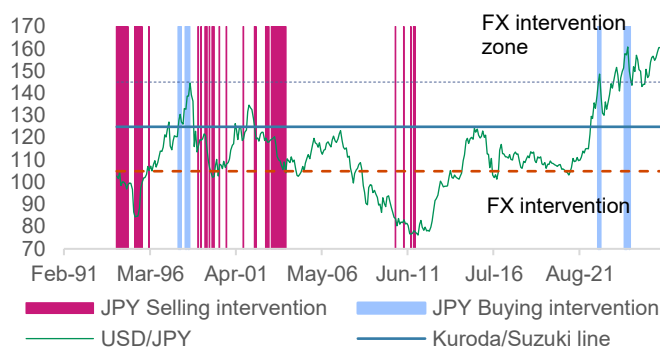
JPY: intervention, at long last. The JPY surged yesterday following the first official FX intervention since 2024 as reported by the Nikkei news agency. The trigger was the push by USD/JPY above 160 that has already led to very strong verbal interventions from Minister of Finance Satsuki Katayama and Vice Minister of Finance for International Affairs Atsushi Mimura. Katayama said the MoF is nearing the time to take bold action in FX. Mimura went further and said it was his final warning before taking action.

The MoF could remain on high alert and may exploit the lower liquidity during the Golden Week holiday period and more favourable market positing to intervene again to support the JPY. Pushing the JPY in the opposite direction next week could be the rollout of US labour market and ISM data as well as Japan's own labour earnings data. Keeping the BoJ hawkish is growing signs higher inflation and a tight labour market are leading to stronger real wages growth. If this were to continue, it would keep Japan's rates market favouring a BoJ rate hike in June.

The MoF's vigilance could be warranted also given the range of drivers that pushed USD/JPY above the psychologically important 160 level in the first place. Among the international drivers were rising oil prices on the US-Iran war as well as UST yields of late. Some of the JPY's weakness was home grown. The BoJ performed what was considered a hawkish hold this week, maintaining that the economy was recovering moderately and suggesting that it would focus more on managing the inflation rather than the growth impacts of the rise in global energy prices. There was even a 6-3 vote in favour of being on hold, with two additional dissenters voting for a rate hike. But the JPY's gains were quickly unwound by a dovish Governor Kazuo Ueda. Specifically, in his press conference Ueda said the rates were on hold as the likelihood that the BoJ's forecasts being realised has declined.

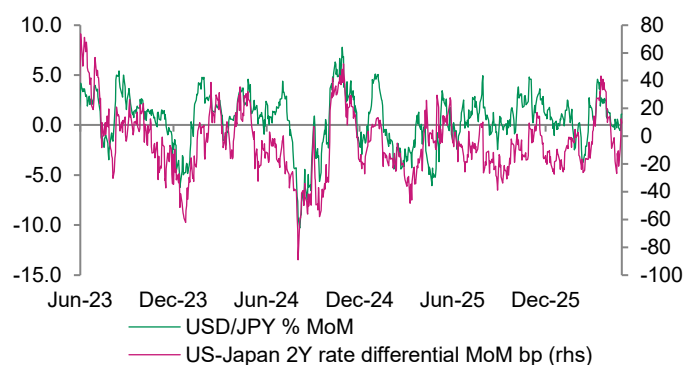
The JPY surged yesterday following the first official FX intervention since 2024. The MoF could remain on high alert and exploit the lower liquidity during the Golden Week holiday period and more favourable market positing to intervene again to support the JPY.

USD/JPY remains in the intervention zone



Source: Crédit Agricole CIB, Bloomberg, Japan MoF

The BoJ did not help the JPY, especially in the face of a hawkish tilt by the Fed



Source: Crédit Agricole CIB, Bloomberg

david.forrester@ca-cib.com



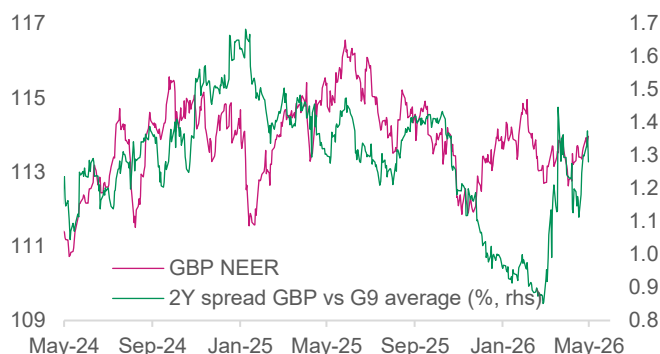
GBP: after the BoE. As expected, the BoE kept its rates unchanged in April. All MPC members bar Huw Pill voted to keep rates unchanged. The BoE Chief Economist dissented in favour of a 25bp hike. The BoE further became the latest major central bank to release its assessment of the macroeconomic impact from the war in Iran. Similarly to the ECB, the MPC used three scenarios for the inflation outlook based on the different assumption regarding the path of energy prices. Scenario A saw headline inflation coming off the boil already in 2028, as expected by the BoE in February. Scenario B seemed to show inflation stabilising around the bank's 2% target in 2028 while Scenario C saw inflation falling towards target only in 2029. All three scenarios have been created using a peak bank rate market expectation of 4.2%, which is c.25bp below the peak market rate expectation, at the time of writing. The MPR further stressed the huge uncertainty surrounding the policy outlook and the timing of any future rate hikes.

The MPR's cautious language and the comments made by BoE Governor Andrew Bailey during his subsequent press conference as well as the bank's outlook for inflation returning to target with the help of only two additional rate hikes under most of its scenarios, make us think that the meeting did not validate the current hawkish UK rate market expectations. We further note that the GBP remained firm even though UK rates investors have pared back somewhat their rate expectations in the wake of the policy meeting. Despite the latest correction lower, however, the GBP remains one of highest yielding G10 currencies and the currency could continue to draw support from its considerable rate appeal. We conclude that it may take a more meaningful drop of the GBP's relative rate appeal to see the currency suffer.

Looking ahead into next week, the UK data calendar is relatively light with only the final services PMI for April on the agenda. Market participants will further focus on BoE speeches delivered at the BoE-ECB rate setters conference on 7 and 8 May as they try to assess the timing of the next bank rate move. The ebb and flow of geopolitical risks should remain an important driver of the GBP as well, and GBP/USD could continue to follow the broad USD moves across the board.

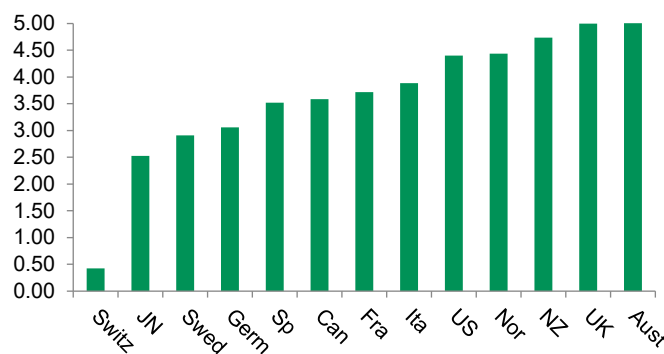
Next week's calendar is relatively light and FX investors will focus on BoE speakers as they try to assess the timing of the next bank rate move. Geopolitical risks remain an important driver of the GBP as well and GBP/USD could continue to follow the broad USD moves across the board

GBP NEER vs spread: UK 2Y rate vs average G9 2Y rate



Source: Crédit Agricole CIB, Bloomberg

UK yields are some of the highest in G10



Source: Crédit Agricole CIB, Bloomberg

valentin.marinov@ca-cib.com

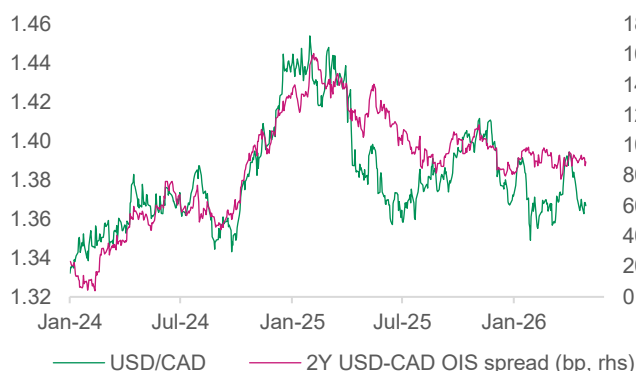


CAD: hardly any better treatment. USD/CAD has kept pushing for new lows under 1.36 this week, as the broad USD recovery has so far only proved tentative. Over that period, the CAD has had to face a busy domestic newsflow of its own, while ultimately showing very little agitation. The Spring Economic Update kept Canada's growth path largely unchanged, although higher energy prices and inflation have improved this year's fiscal position. The creation of a sovereign wealth fund may have grabbed the limelight in the media, although looking more like the UK vehicle to invest in domestic project, than the likes of other big energy exporters to recycle the proceeds of oil and gas exports into foreign assets.

USD/CAD has stabilised as the Fed and BoC have largely held their course in April

Meanwhile, the April BoC meeting did not prove more influential for the CAD. As expected, the policy rate was kept unchanged at 2.25% and the forward guidance still very much open, as Governor Macklem ultimately highlighted the upside risks to inflation stemming from the conflict in the Middle East, as much as the downside risks surrounding the USMCA review. The new Monetary Policy Report barely swayed Canada's growth path, while the annual review of Canada's potential output and neutral rate estimates did not offer any material changes. Put against the Fed's more hawkish dissent, short USD-CAD rate spreads have thus held up largely steady, a major anchor for keeping USD/CAD well entrenched in its 1.35/1.40 range. We look for this regime to continue to prevail in the weeks and months to come, with the balance of risks being rather tilted to the upside, primarily aiming to a potentially tumultuous process regarding the mid-year USMCA review. In this context, a light Canadian agenda for the week ahead should not cause much disruption, while Tuesday's external trade figures for March could offer a first glimpse of how much of a boost the Canadian economy could get from the ongoing energy terms of trade shock.

USD/CAD has steadied, as April's Fed and BoC meetings hardly swayed respective money markets



Source: Cr dit Agricole CIB, Bloomberg

Canada's CPI to revert to 2% next year, while the BoC also flagged the negative risks around USMCA review



Source: Cr dit Agricole CIB, Bloomberg, BoC

alexandre.dolci@ca-cib.com



AUD & NZD: stalling. The Antipodean currencies' rallies are stalling on a combination of a lower Australian and NZ short-term rates spreads vs the US as well as rising risk aversion. Investors are dialling back rate hike expectations a bit in Australia and NZ and there has been modest hawkish shift at the Fed. The prolonged closure of the Strait of Hormuz is also not helping risk sentiment and the AUD. We continue to think the peak in AUD/USD will be in Q2 and closer to 0.73 and for NZD/USD to grind higher to 0.60 in Q2 and continue moving higher thereafter.

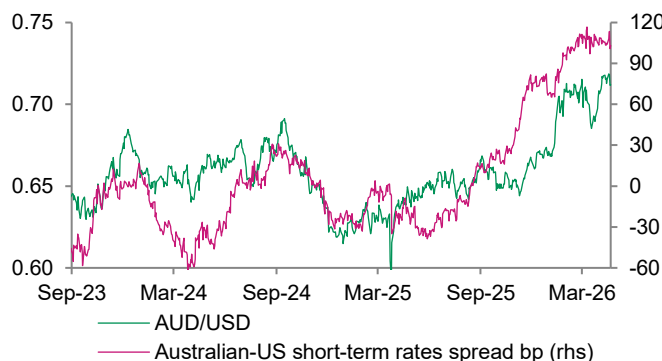
For these outlooks to be realised, there will have to be progress on the re-opening of the Strait of Hormuz and/or the RBA and RBNZ will have to look more hawkish than the Fed. Australian CPI data this week suggests another RBA rate hike next week but the central bank's forecasts and rhetoric in its SMP as well as Governor Michele Bullock's press conference will determine if this is a hawkish or dovish hike. There is also some risk of no hike at all. We expect a hike, however, and would not be surprised to see another split vote as the same dissenters to the March rate hike call for another pause. Indeed, next week the RBA will revise up its inflation and down its growth forecasts and may signal after taking the cash rate into restrictive territory that it wants to pause and weigh up the positive inflation effects of the US-Iran war vs the negative growth effects. With the market priced for another 60bp worth of rate hikes by year-end (including next week), such rhetoric would weigh on the AUD.

NZ's labour market data will determine if the RBNZ remains on the sidelines. While RBNZ Governor Anna Breman repeated that the central bank remains ready to respond decisively to signs of rising underlying inflation, slack in the labour market would also continue to give the MPC leeway to wait and see how the economy manages the global energy price shock. Business sentiment data this week plunged into pessimistic territory for the first time since 2023 and activity data also

A dovish hike and another split vote could weigh on the AUD

halved from near decade highs falling to below average levels. Businesses are facing the crunch of higher input prices and falling demand suggesting they have limited ability to pass on these higher costs and that second-round effects from higher energy prices on inflation could be limited. This would leave the RBNZ holding off raising rates.

The Australian-US short-term rates spread is pausing its rise bringing a stop to AUD/USD's rally



Source: Cr dit Agricole CIB, Bloomberg

The NZ-US short-term rates spread is pausing its rise bringing a stop to NZD/USD's rally



Source: Cr dit Agricole CIB, Bloomberg

david.forrester@ca-cib.com



NOK & SEK: parting ways on a broader scale?

NOK/SEK has extended its rally to hit parity for the first time since late 2024, as higher energy prices have increased the divide between the NOK and the SEK, with global risk appetite holding up not too bad overall. Mounting to a 10% surge in just about three months, some profit-taking could thus emerge at such a psychological juncture, while the bar for longer legs in the near term appears quite high. That is indeed a very fine line for oil prices to not materially dampen global sentiment in case of additional gains, while a potentially more potent fillip could come directly from the Norges Bank. After telegraphing a return of rate hikes at its March meeting, it is a very close call as to whether the Norges Bank will deliver as soon as next week. Norway's core inflation has held up steady near 3% YoY and the tightening provided by the strong NOK gains since then may buy the bank a bit more time. In any case, that would just mean higher interest rates being pushed back somewhat, as the NOK would remain in close competition with the AUD for the highest G10 FX carry in the coming months.

In comparison, we would expect the SEK to stay on the back foot. More obvious struggles from the EUR may in turn weigh on the SEK which has not been able to rely on any domestic support of late either. Instead, Sweden's first GDP estimate for Q126 rather disappointed with a -0.2% QoQ contraction (vs 0.2% expansion from the market consensus), while the frontloading of growth outperformance prospects was seemingly behind the SEK gains of around the turn of the year. Next week, Stats Sweden will publish its flash inflation prints for April, which are set for a downturn due to the VAT cut kicking in that month. Barring any massive upside surprise in the data, such a difference compared to most peer economies should theoretically buy more time for the Riksbank, as its next policy decision looms on Thursday too, while its flexible two-sided forward guidance should not be changed either at this stage. SEK money markets do not fully price in a first rate hike until late August, which still looks a bit excessive to us, while risks of policy divergence between the Riksbank and the ECB in the months to come could keep EUR/SEK drifting back to around 11.00.

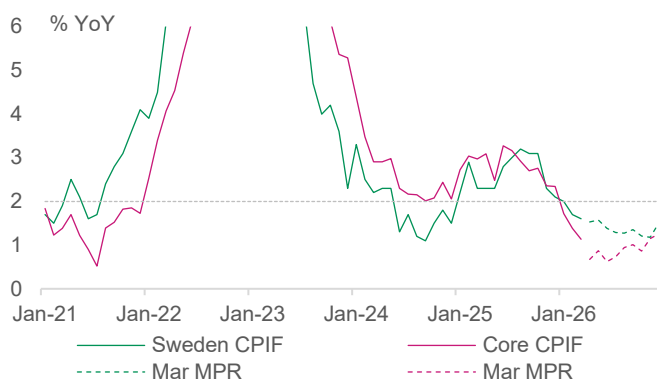
NOK/SEK rally extends to parity, while greater divide between the Norges Bank and the Riksbank may be needed for the move to have longer legs

NOK/SEK has reached parity as higher energy prices hit Norway and Sweden differently



Source: Crédit Agricole CIB, Bloomberg

Contained Swedish inflation could buy the Riksbank more time than peers



Source: Crédit Agricole CIB, Bloomberg, Riksbank

alexandre.dolci@ca-cib.com

CACIB FX Volatility Monitor

Updated 28 April 2026

- G10 FX spot has on balance stayed range-bound over the past few weeks, with the notable exception of multi-year highs in the NOK on the back of higher energy prices and fairly resilient risk appetite. Realised volatility has generally come down, with the front end thus leading the compression across implied volatility.
- Of special note, JPY implied vols have fallen to their lowest in years, as USD/JPY has been holding steady just below 160, while Japanese authorities have reiterated their warnings of potential FX interventions. 1M USD/JPY ATM has fallen below 7% for the first time in two years, while 1Y USD/JPY ATM is tentatively coming off the 9% handle. Developments have proved even more remarkable for the EUR/JPY ATM term structure, laying at its lowest levels in over four years.
- Historically high correlations between EUR/USD and JPY/USD have obviously helped, as long-dated EUR/JPY vols now enjoy one of their largest discounts to USD/JPY vols ever. This comes at odds with the moves seen in the rates vol space over the past two months, as for instance EUR 1Y1Y swaption vol has jumped by a greater extent than their USD equivalent. With arguably greater uncertainties over the near-term course of the ECB (compared to the Fed), this spread could stay at fairly elevated levels, eventually leading to some catching-up by FX volatilities.
- Being long 1Y EUR/JPY vol at such levels thus looks compelling to us, as the position would also capture the risks of the market testing the resolve of Japanese authorities, the threats of renewed geopolitical escalation and to a lesser extent the eventuality of the French presidential elections falling on 11-25 April next year.

For more information please refer to the FX Volatility Monitor – [Introducing our FX Volatility Monitor](#)

G10 FX markets have seemingly grown used to the lingering uncertainties over the conflict in the Middle East, with spot rates on balance staying range-bound in the past few weeks, the only exception being multi-year highs in the NOK on the back of higher energy prices and fairly resilient risk appetite. In this environment, G10 FX realised volatility has generally come down, which has in turn dragged implied volatility lower, with the front end unsurprisingly showing the greater reaction.

Fig 7. EUR/JPY ATM vols at their lowest level in over four years



Source: Crédit Agricole CIB, Bloomberg

Fig 8. 1Y EUR/JPY ATM vol enjoys one of its largest discounts to USD/JPY vol

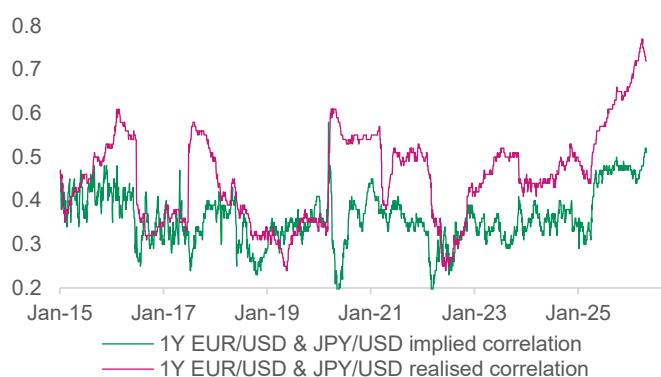


Source: Crédit Agricole CIB, Bloomberg

Of special note, JPY implied volatilities have fallen to their lowest levels in years, as USD/JPY has been holding steady just below 160 in light of the repeated warnings from Japanese authorities of potential FX interventions. 1M USD/JPY ATM has thus fallen below 7% for the first time in two years, while 1Y USD/JPY ATM is tentatively coming off the 9% handle. Yet, developments have proved even more remarkable for the EUR/JPY ATM term structure, laying at its lowest levels in over four years.

Historically high correlations between EUR/USD and JPY/USD (in terms of daily log returns) have obviously helped, even though the 1Y implied correlation is still lagging record 1Y realised correlation by about 0.2pt. Long-dated EUR/JPY vols thus now enjoy one of their largest discounts to USD/JPY vols ever, which especially comes at odds with the moves seen in the rates vol space over the past couple of months, ie, a larger jump in EUR 1Y1Y swaption vol than in their USD equivalent. With arguably greater uncertainties over the near-term course of the ECB (compared to the Fed), this spread could stay at fairly elevated levels, eventually leading to some catching-up by FX volatilities.

Fig 9. EUR/USD & JPY/USD correlations at historically high levels



Source: Crédit Agricole CIB, Bloomberg

Fig 10. Greater uncertainties over the ECB's near-term course could underpin EUR/JPY volatility



Source: Crédit Agricole CIB, Bloomberg

In this context, being long 1Y EUR/JPY vol at such levels thus looks compelling to us. The position would also capture the risks of the market testing the resolve of Japanese authorities, as the last interventions back in 2024 spurred large JPY spot moves. Furthermore, the threats of renewed geopolitical escalation (in the Middle East or further East) could broadly lift G10 FX vols across the board, while more specifically for EUR/JPY a more decisive response from the ECB than the BoJ in the case of severe disruptions in energy markets could sway spot. Last but not least, the 1Y tenor may already cover the two rounds of the 2027 French presidential elections (exact dates to be confirmed in the coming months), which has embedded some gamma add-on by market makers in the last two occurrences.

FX Positioning Update

This is our weekly update published 27 April 2026

- The EUR experienced some selling interest last week, predominantly driven by Tactical flows. Our FX flow data points at corporates and real money investors inflows as well as banks and hedge funds outflows.
- The USD took over as the G10's most overbought currency at present and enjoyed new buying interest last week, predominantly driven by Tactical flows. Our FX flow data points at banks and hedge funds inflows as well as corporates and real money investors outflows.
- The JPY experienced some selling interest last week, predominantly driven by Tactical flows. Our FX flow data points at corporates and real money investors inflows as well as banks and hedge funds outflows.
- The CHF saw fresh buying interest last week, predominantly driven by IMM flows. Our FX flow data points at banks and hedge funds inflows as well as corporates and real money investors outflows.
- The GBP enjoyed some buying interest last week, predominantly driven by IMM flows. Our FX flow data points at hedge funds and real money investors inflows as well as banks and corporates outflows.
- The AUD faced new selling interest last week, predominantly driven by Crédit Agricole CIB flows. Our FX flow data points at banks inflows as well as corporates, hedge funds and real money investors outflows.
- The CAD enjoyed fresh buying interest last week, predominantly driven by IMM flows. Our FX flow data points at hedge funds inflows as well as banks, corporates and real money investors outflows.
- The NZD remains the largest short in the G10 FX at present and enjoyed some buying interest last week, predominantly driven by Risk Reversals flows. Our FX flow data points at banks and hedge funds inflows as well as corporates and real money investors outflows.
- The NOK enjoyed some buying interest last week, predominantly driven by Tactical flows. Our FX flow data points at hedge funds and real money investors inflows as well as banks and corporates outflows.
- The SEK faced fresh selling interest last week, predominantly driven by Tactical flows. Our FX flow data points at hedge funds and real money investors inflows as well as banks and corporates outflows.

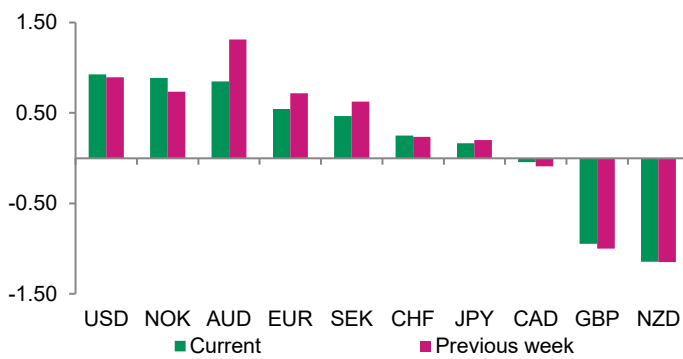
For more information please refer to the FX Focus – [Introducing G10 FX PIX: our new G10 FX Positioning Index](#)

Fig 1. New G10 FX PIX 3.0 trades this week

No new trades this week

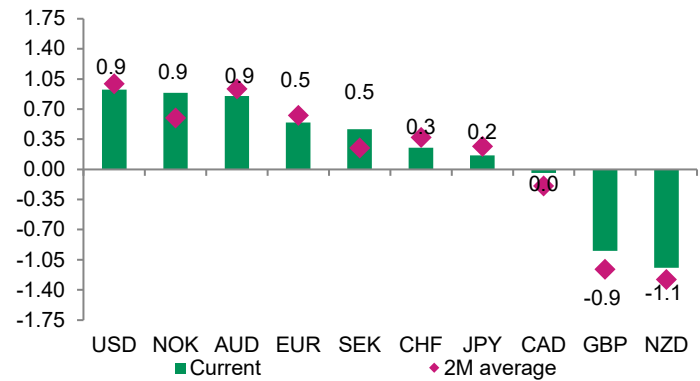
Source: Crédit Agricole CIB

Fig 2. G10 FX positioning at a glance



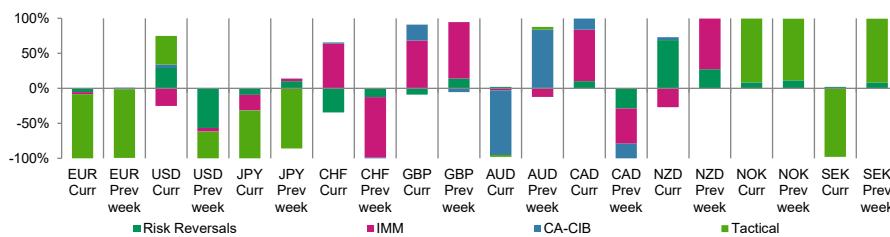
Source: Crédit Agricole CIB

Fig 3. G10 FX positioning – current vs 2M average



Source: Crédit Agricole CIB

Fig 4. Current vs previous week weighted contributions of positioning sub-indices



Note: A negative (positive) z-score could mean that the change in the underlying positioning data is below (above) its long-term average

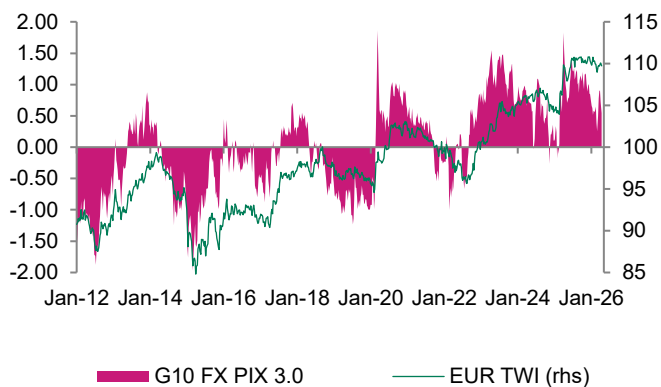
Source: Crédit Agricole CIB

Fig 5. Current vs previous week FX flows



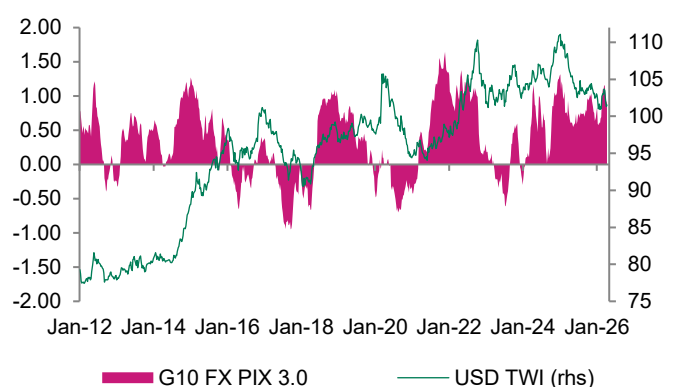
Source: Crédit Agricole CIB

Fig 6. G10 FX PIX 3.0 for EUR



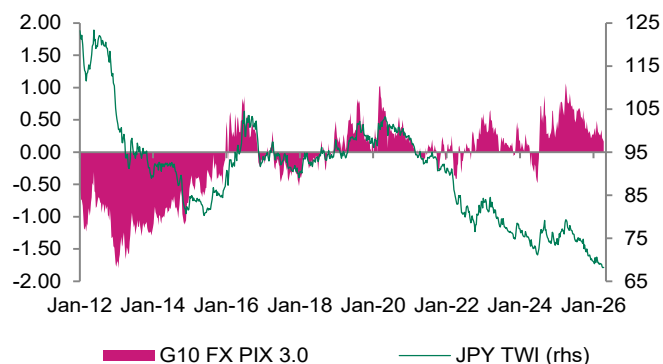
Source: Crédit Agricole CIB, Bloomberg

Fig 7. G10 FX PIX 3.0 for USD



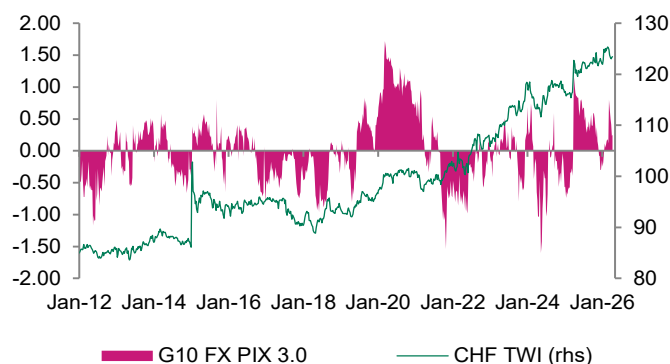
Source: Crédit Agricole CIB, Bloomberg

Fig 8. G10 FX PIX 3.0 for JPY



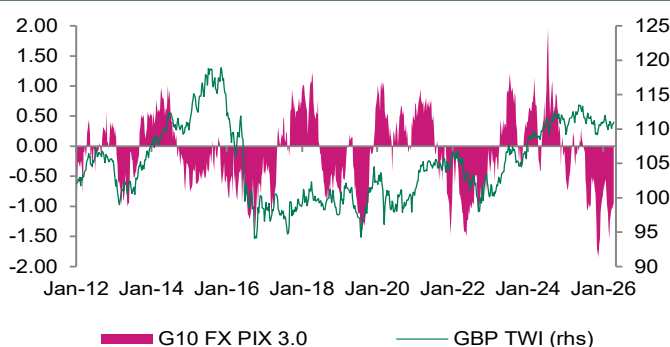
Source: Crédit Agricole CIB, Bloomberg

Fig 9. G10 FX PIX 3.0 for CHF



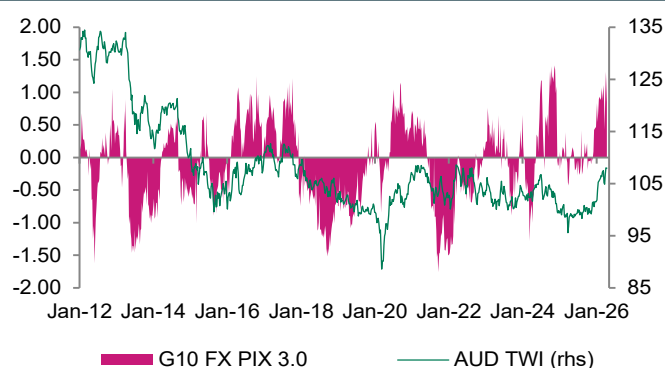
Source: Crédit Agricole CIB, Bloomberg

Fig 10. G10 FX PIX 3.0 for GBP



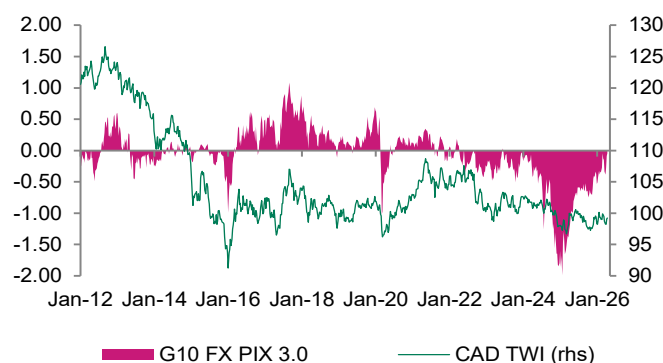
Source: Crédit Agricole CIB, Bloomberg

Fig 11. G10 FX PIX 3.0 for AUD



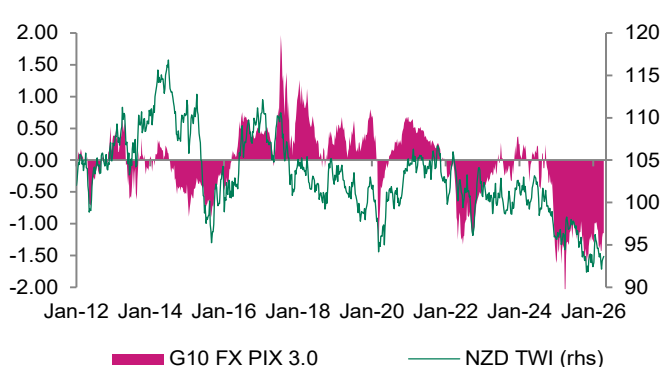
Source: Crédit Agricole CIB, Bloomberg

Fig 12. G10 FX PIX 3.0 for CAD



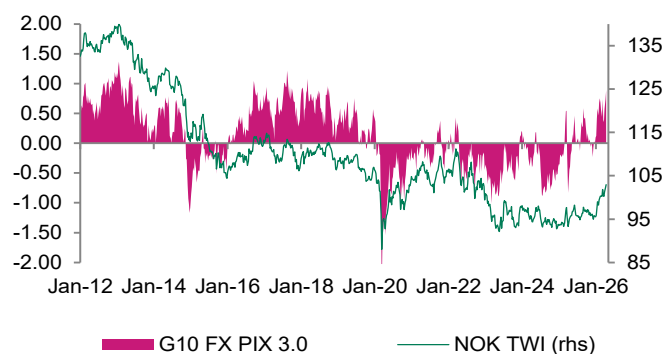
Source: Crédit Agricole CIB, Bloomberg

Fig 13. G10 FX PIX 3.0 for NZD



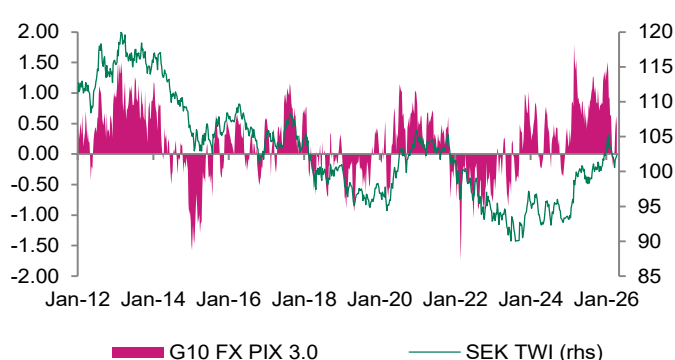
Source: Crédit Agricole CIB, Bloomberg

Fig 14. G10 FX PIX 3.0 for NOK



Source: Crédit Agricole CIB, Bloomberg

Fig 15. G10 FX PIX 3.0 for SEK



Source: Crédit Agricole CIB, Bloomberg

FAST FX Fair Value Model Update

This is our weekly update published 27 April 2026

- The FAST FX model lost -1.22% last week as it was stopped out of its short NOK/SEK trade. The model continues to judge that the cross remains overvalued and has triggered another short NOK/SEK trade this week.
- NOK/SEK's fair value rose from 0.9617 to 0.9759 due to rises in the Norway-Sweden short-term rates spread and the outperformance of Swedish equities by Norwegian equities, which was partly offset by a rise in the Norway-Sweden commodities terms-of-trade ratio. NOK/SEK remains more than 1.5 standard deviations overvalued triggering another short NOK/SEK trade with a stop-loss of -1.22% and a take-profit level of 0.9759.
- USD/JPY's fair value increased from 160.5838 to 161.2129 due to a rise in Japan equities as well as a fall in the US-Japan box yield spread, which was partly offset by a rise in energy prices. USD/JPY is lagging the rise in its fair value remaining modestly undervalued.
- EUR/JPY's fair value rose from 186.75 to 188.74 due to rises in the Eurozone-Japan short-term rates spread and the Eurozone-Japan commodities terms-of-trade ratio as well as a fall in the Eurozone-Japan box yield spread and the outperformance of Eurozone equities by Japan equities. EUR/JPY has become undervalued but is short of triggering a buy trade.

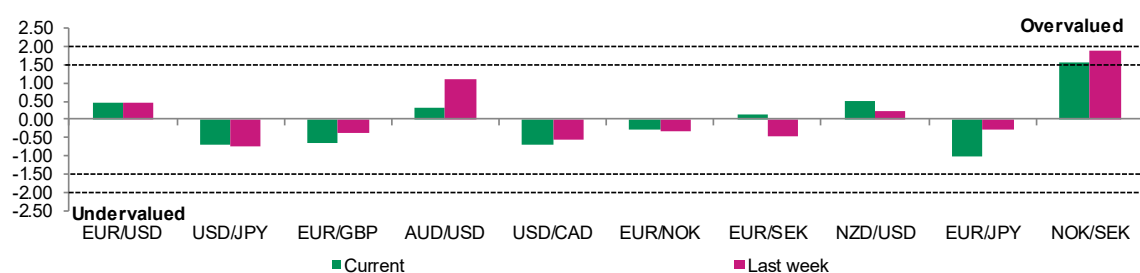
For more information please refer to the FX Focus – [Introducing our FAST FX fair value model](#)

New trades this week

Time Stamp	Entry	Pair	Direction	Spot at entry	Take Profit	Stop Loss
09:00BST	4/27/2026	NOK/SEK	SELL	9am London fix	0.9759	-1.22%

Source: Crédit Agricole CIB

FX under/overvaluation – z-scores



Dotted lines mark 1.5 and 2 standard deviations in the Z-score

Source: Crédit Agricole CIB

FAST FX fair value summary

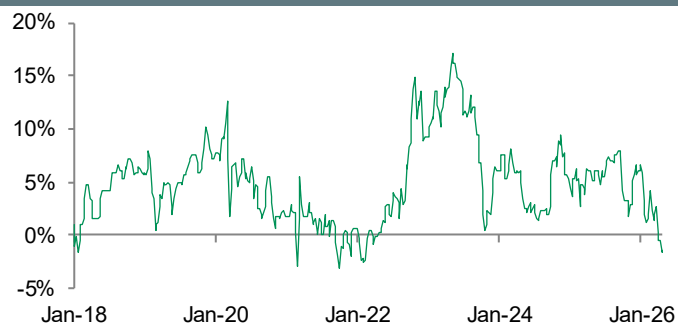
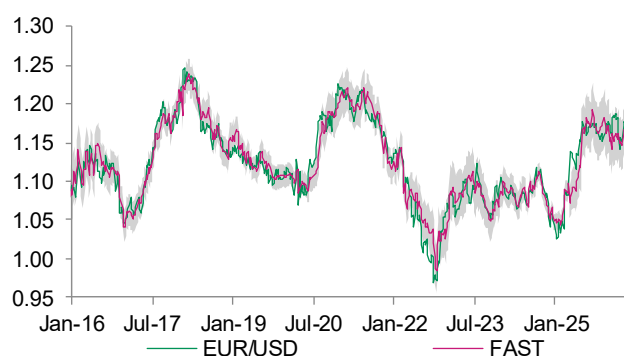
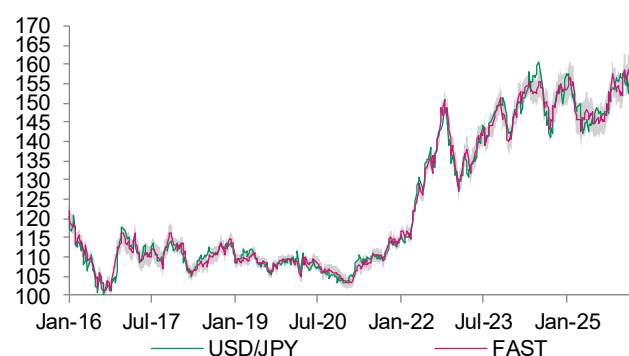
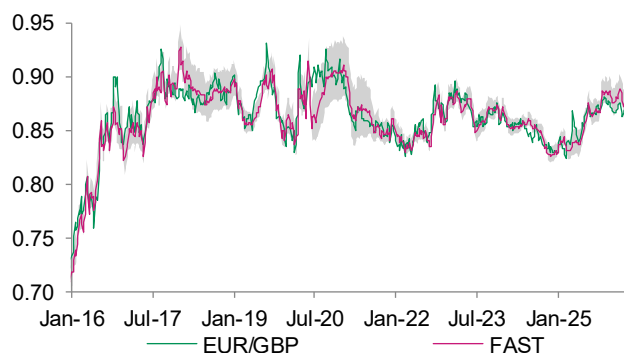
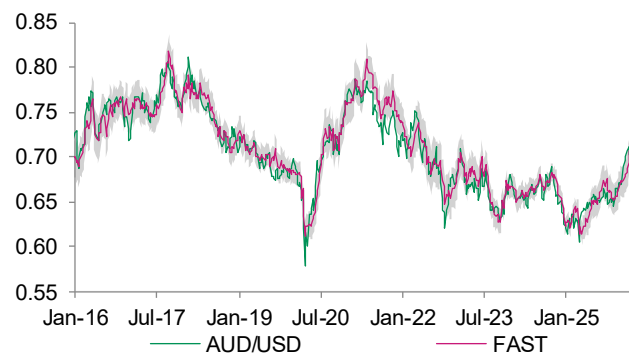
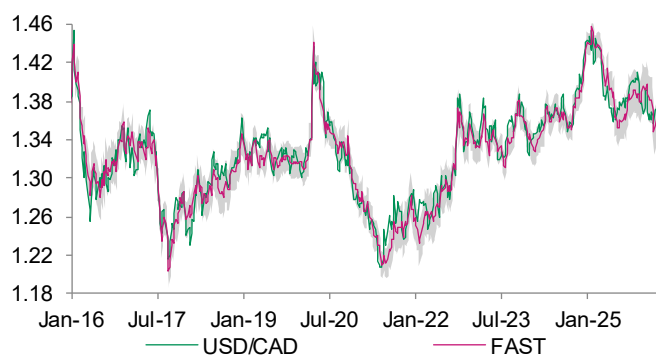
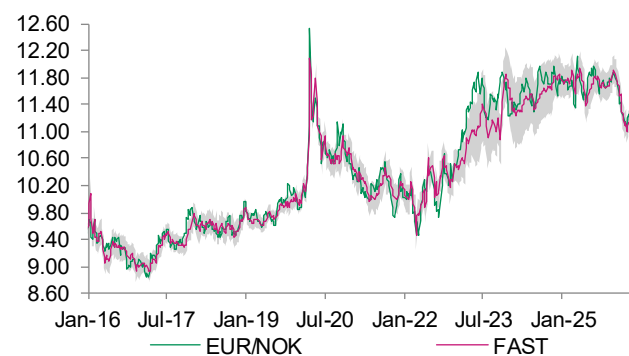
	FX spot (Friday NY close)	Fair value estimate	Under / over valuation	Z-score	Stability filter
EUR/USD	1.1722	1.1642	0.68%	0.46	stable
USD/JPY	159.38	161.21	-1.14%	-0.71	stable
EUR/GBP	0.8661	0.8685	-0.27%	-0.64	unstable
AUD/USD	0.7152	0.7115	0.52%	0.30	stable
USD/CAD	1.3668	1.3779	-0.81%	-0.71	stable
EUR/NOK	10.9135	10.9411	-0.25%	-0.26	stable
EUR/SEK	10.8069	10.7974	0.09%	0.14	unstable
NZD/USD	0.5881	0.5834	0.81%	0.49	stable
EUR/JPY	186.86	188.74	-1.00%	-1.04	stable
NOK/SEK	0.99	0.9759	1.45%	1.55	stable

For a stable regime – the primary model is used whereby trades are triggered when the z-score is greater than 1.5 or less than -1.5; while for an unstable regime – the secondary model is used and the trigger level is +/-2 for the z-score.

Source: Bloomberg, Crédit Agricole CIB

Short-term fair value charts

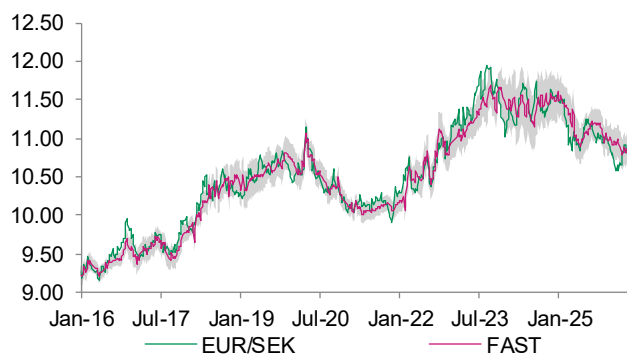
FAST FX Model performance since 2017

Annual Return since 2018

EUR/USD

USD/JPY

EUR/GBP

AUD/USD

USD/CAD

EUR/NOK


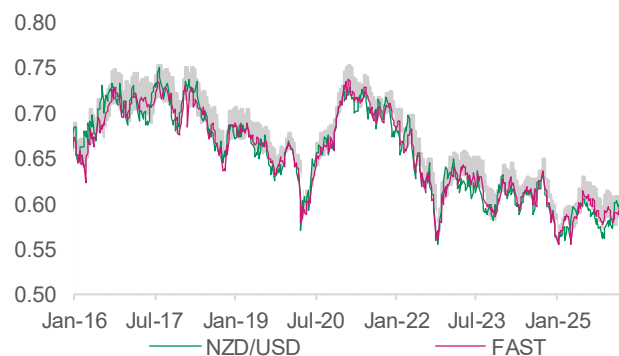
Note: Shaded area represents 1.5 standard deviation bands

Source all charts: Crédit Agricole CIB, Bloomberg

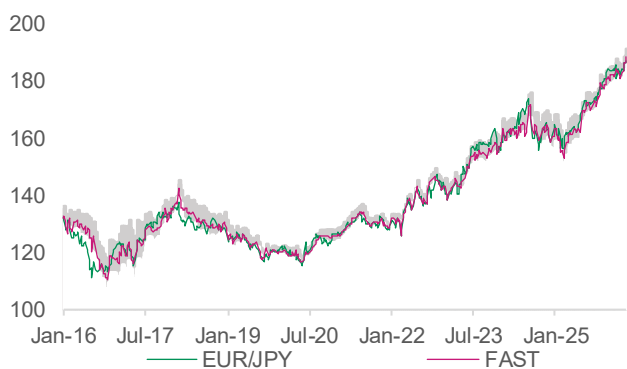
EUR/SEK



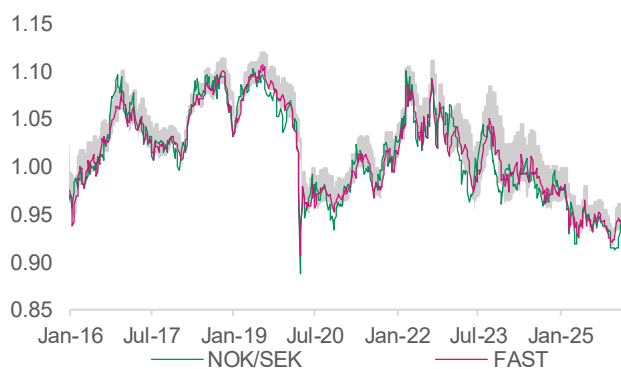
NZD/USD



EUR/JPY



NOK/SEK



Note: Shaded area represents 1.5 standard deviation bands

Source all charts: Crédit Agricole CIB, Bloomberg

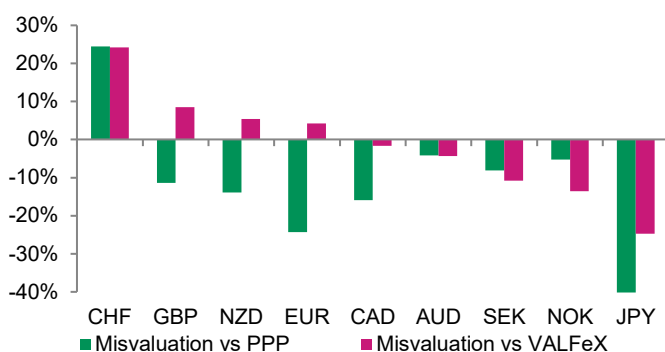
FX Fair Value Model Update

This is our latest update published 06 March 2026

- According to our G10 VALFeX model, in Q425 the USD's long-term fair value grew vs the EUR, GBP, AUD and NZD but fell against the JPY, CHF, CAD, SEK and NOK. This mainly reflected changes in relative US productivity and real rate advantage. The USD's fair value benefited from improving relative external position vs most G10 currencies. At the same time, the USD's relative commodity terms of trade supported its fair value vs the G10 currencies of commodity exporters but weighed it down vs the EUR, GBP, JPY, CHF, NOK and SEK.
- The USD's long-term fair value fell by -0.21% on average in Q425 while the currency gained by 0.25% on average in FX spot over the same period. At present, the USD looks (1) overvalued vs the JPY, NOK, AUD, CAD and SEK; (2) close to fair value vs the CAD; and (3) cheap vs the CHF, GBP, NZD and EUR.
- EUR/USD, GBP/USD, AUD/USD and NZD/USD saw their fair values fall to 1.1113, 1.2296, 0.7333 and 0.5579 in Q425 from 1.1257, 1.2315, 0.7372 and 0.5672 in Q325. In addition, the fair values for USD/JPY, USD/CHF, USD/CAD, USD/SEK and USD/NOK fell to 118.86, 0.971, 1.346, 8.24 and 8.34 in Q425 from 119.2, 0.979, 1.351, 8.46 and 8.45 in Q325, respectively.

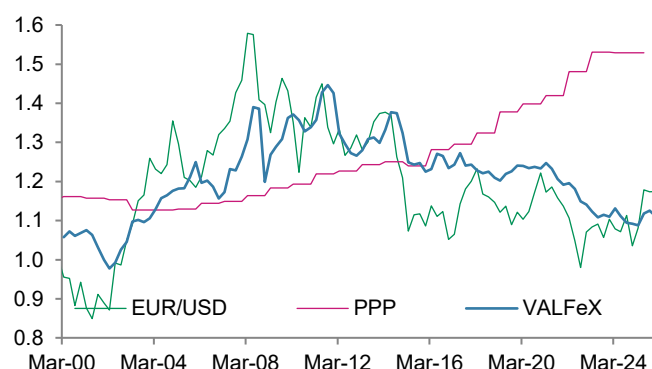
For more information please refer to the FX Focus – [Introducing CACIB's FX fair value model: G10 VALFeX](#)

The USD looking expensive vs the JPY, NOK, SEK & AUD but looks cheap vs the CHF, GBP, NZD & EUR



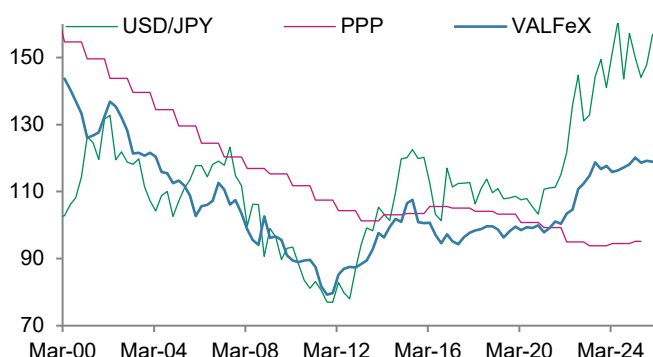
Source: Crédit Agricole CIB, Bloomberg

EUR/USD looks expensive relative to VALFeX but looks undervalued relative to PPP



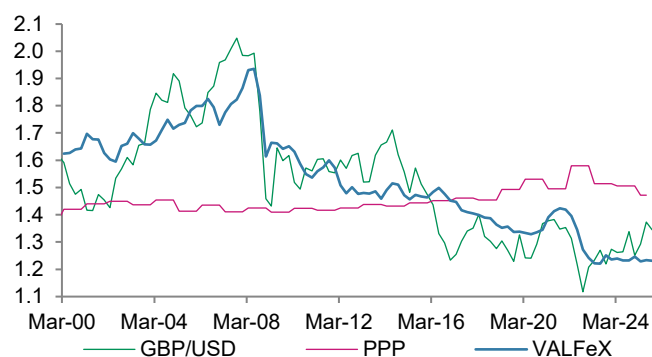
Source: Crédit Agricole CIB, Bloomberg

The JPY still looks very undervalued relative to VALFeX and PPP



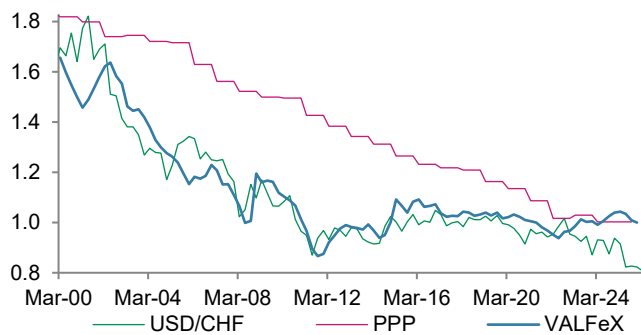
Source: Crédit Agricole CIB, Bloomberg

GBP/USD looks expensive relative to VALFeX but looks cheap relative to PPP



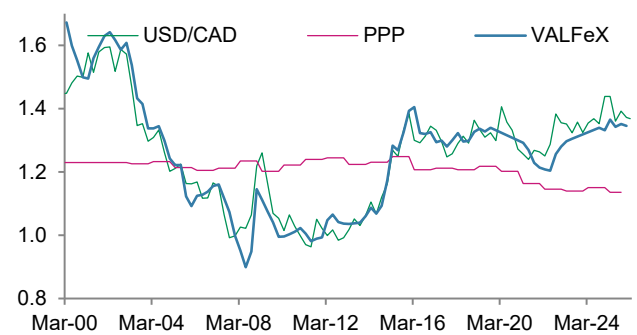
Source: Crédit Agricole CIB, Bloomberg

The CHF looks very overvalued relative to PPP and VALFeX



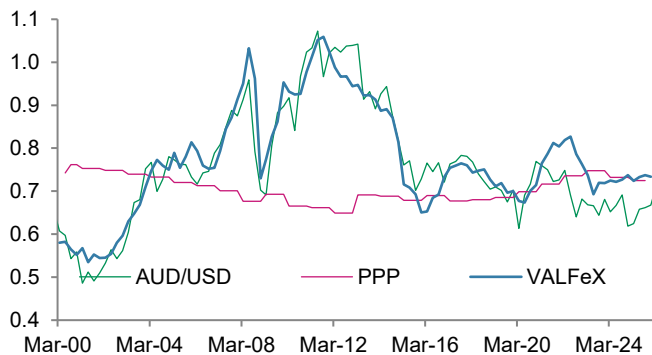
Source: Crédit Agricole CIB, Bloomberg

The CAD looks modestly undervalued relative to VALFeX and outright cheap vs PPP



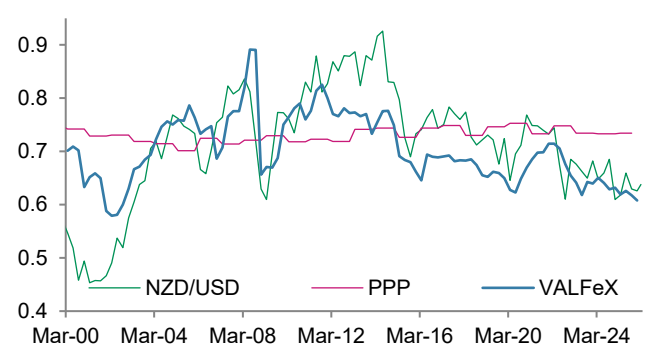
Source: Crédit Agricole CIB, Bloomberg

The AUD looks undervalued relative to VALFeX and PPP



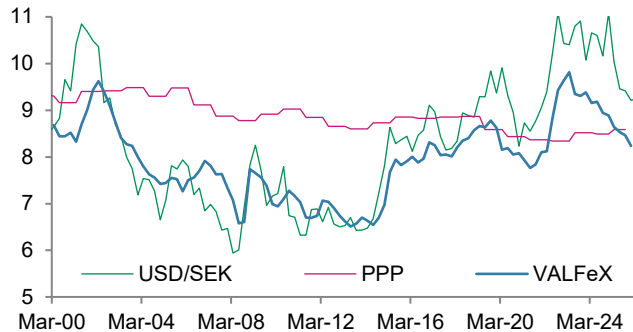
Source: Crédit Agricole CIB, Bloomberg

The NZD looks undervalued relative to PPP but looks expensive relative to VALFeX



Source: Crédit Agricole CIB, Bloomberg

The SEK looks undervalued relative to VALFeX and PPP



Source: Crédit Agricole CIB, Bloomberg

The NOK looks undervalued relative to VALFeX and PPP



Source: Crédit Agricole CIB, Bloomberg

FX Risk Index

This is our weekly update published 30 April 2026

- At -0.2705 (vs -0.1090 last week) our Risk Index has moved further into risk seeking territory leading to the trend in the Index turning lower.
- Despite the Strait of Hormuz remaining closed and Brent crude oil hitting its US-Iran war highs, investors remain sanguine about the outlook for risk. Indeed, our Risk Index has hit its lowest level since early February and not long after the US began its military build up in the Middle East.
- Supporting investor sentiment have been broadly firm earnings results from US technology companies as well as Asian chipmakers. Investors still feel confident about the AI investment boom. US economic data have also been firm.
- Testing sentiment in the coming week will be US ISM and labour market data. There are also newswire reports that President Donald Trump is considering options to resume military action against Iran. If the ceasefire were to end, sentiment would quickly turn negative again. The ongoing US earnings season will also be important for risk sentiment.
- Our Risk Index was dragged lower by falling equity market volatility and private credit spreads as well as the outperformance of defensive stocks by cyclical stocks. Rising FX volatility and EM Sovereign spreads helped support our Index.
- The CHF, AUD and NOK remain the G10 currencies the most positively correlated with our Risk Index and the EUR, GBP and SEK the most negatively correlated with the Index.

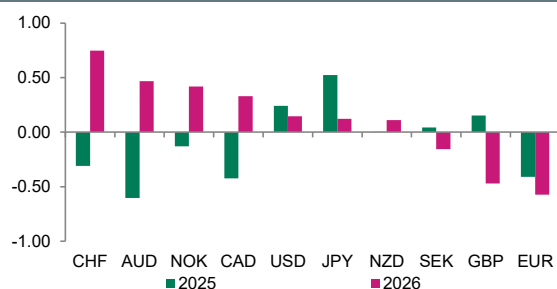
For more information please refer to the FX Focus – [Introducing the new CACIB FX risk index](#)

CACIB FX Risk Index



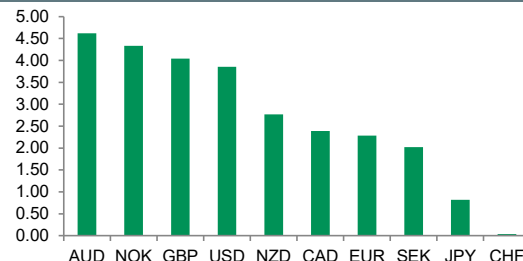
Source: Crédit Agricole CIB

Currency sensitivity

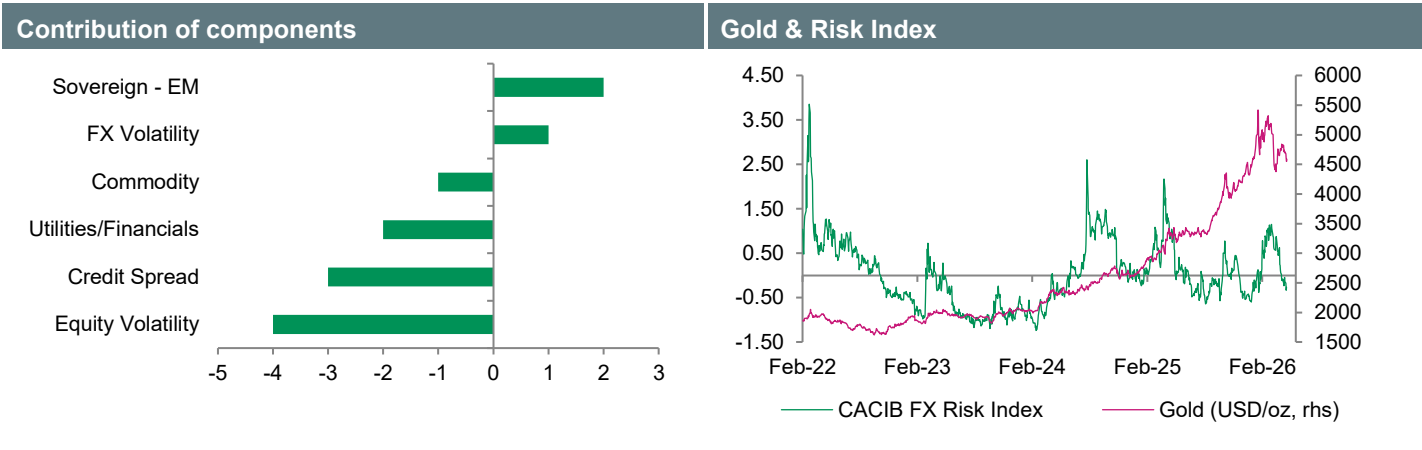


Source: Bloomberg, Crédit Agricole CIB

Yield advantage



Source: Bloomberg, Crédit Agricole CIB



Source: Bloomberg, Crédit Agricole CIB

Source: Bloomberg, Crédit Agricole CIB

This document should not be used by a non legitimate recipient.

Key releases in the week ahead

GMT	Indicator/Event		For	Cons.	Prev.	Comment
Monday 04 May						
02:00	AU	Melbourne Institute Inflation YoY	Apr		4.30%	
02:30	AU	ANZ Job Advertisements	Apr		-3.10%	
02:30	NZ	RBNZ MPC Member Prasanna Gai speaks				
07:30	SW	PMI Manufacturing	Apr		56.30	
08:30	SZ	PMI	Apr		53.30	
08:45	IT	PMI Manufacturing	Apr		51.30	
08:50	FR	PMI Manufact.	Apr		52.80	
08:55	GE	PMI Manufacturing	Apr		51.20	
09:00	EZ	ECB Survey of Professional Forecasters				
09:00	EZ	PMI Manufacturing	Apr		52.20	
09:30	EZ	Investor Confidence	May		-19.16	
10:00	EZ	ECB's Dolenc speaks in Ljubljana				
13:00	EZ	ECB's Kocher speaks in Vienna				
15:00	US	Factory Orders	Mar	-0.10%	0.00%	
17:50	US	Fed's Williams delivers Keynote Remarks				
20:30	CA	BOC Macklem and Rogers appear before Lawmakers				
Tuesday 05 May						
02:00	NZ	Commodity Price	Apr		4.10%	
05:30	AU	RBA	May		4.10%	
05:30	AU	RBA-Statement on Monetary Policy				
07:30	SZ	CPI YoY	Apr		0.30%	
09:00	EZ	ECB's Panetta speaks in London				
13:30	US	Trade Balance	Mar	-59.65 B	-57.35 B	
14:45	US	Services PMI	Apr		51.30	
15:00	US	ISM Non-Manufact.	Apr	53.90	54.00	
15:00	US	New Home Sales	Mar	668 K	587 K	
22:00	NZ	RBNZ Publishes Financial Stability Report				
23:45	NZ	Unemployment	1Q		5.40%	
Wednesday 06 May						
02:00	NZ	RBNZ News Conference for Financial Stability Report				
02:45	CH	Caixin Composite PMI	Apr		52.10	
07:00	SW	CPIF YoY	Apr		1.60%	
07:30	SW	PMI Services	Apr		55.70	
07:45	FR	Industrial Production YoY	Mar		-0.30%	
07:45	FR	Manufacturing Prod. YoY	Mar		0.80%	
08:50	FR	Composite PMI	Apr		47.60	
08:55	GE	Composite PMI	Apr		48.30	
09:00	EZ	Composite PMI	Apr		48.60	
09:00	IT	Retail Sales YoY	Mar		1.60%	
09:00	EZ	ECB Wage Tracker				
09:00	EZ	ECB's Lane Speaks in Berlin				
09:30	UK	Composite PMI	Apr		52.00	
09:30	UK	Services PMI	Apr		52.00	
09:30	UK	Reserves	Apr		-7884 M	
10:00	EZ	PPI	Mar		-3.00%	
13:15	US	ADP Employment Change	Apr		62 K	
14:30	US	Fed's Musalem Speaks at Mississippi Bankers Association				
15:00	CA	Ivey PMI	Apr		49.70	
18:00	US	Fed's Goolsbee speaks on Panel Event				
Thursday 07 May						
00:50	JN	Money Supply	Apr		-11.60%	
00:50	JN	BoJ Minutes of March Meeting				
02:30	AU	Trade Balance	Mar		5686 M	

GMT		Indicator/Event	For	Cons.	Prev.	Comment
07:00	GE	Factory Orders MoM	Mar		0.90%	
07:30	AU	Reserves	Apr		106.81 B	
07:45	FR	Trade Balance	Mar		-5778 M	
08:00	SZ	FX Reserves	Apr		721 B	
08:00	SZ	Unemployment	Apr		3.00%	
08:15	EZ	ECB's Villeroy Speaks in Paris				
08:15	EZ	ECB's Guindios Speaks in Frankfurt				
08:30	SW	Riksbank	May		1.75%	
09:00	NO	Norges Bank	May		4.00%	
09:30	UK	Construction PMI	Apr		45.60	
10:00	EZ	Retail Sales YoY	Mar		1.70%	
12:30	US	Challenger Job Cuts	Apr		-78.00%	
13:30	US	Productivity	1Q		1.80%	
13:30	US	Unit Labor Costs	1Q		4.40%	
13:40	EZ	ECB's Lane Speaks in London				
15:00	US	Construction Spend	Mar		-0.30%	
19:05	US	Fed's Hammack Speaks in Fireside Chat				
20:00	US	Consumer Credit	Mar	12.50 B	9.48 B	
20:30	US	Fed's Williams in Moderated Discussion				
Friday 08 May						
00:00	JN	Machine Tool Orders YoY	Mar		28.00%	
00:30	JN	Earnings	Mar		3.40%	
01:30	JN	Services PMI	Apr		51.20	
07:00	NO	Industrial Production	Mar		3.30%	
07:00	GE	Industrial Prod. YoY	Mar		0.00%	
07:00	SW	Budget	Apr		-6.54 B	
07:00	SW	Industrial Orders YoY	Mar		1.00%	
07:00	SW	Consumption	Mar		1.80%	
13:30	US	NFP	Apr	60 K	178 K	
13:30	US	Unemployment	Apr	4.30%	4.30%	
13:30	CA	Unemployment	Apr		6.70%	
15:00	US	U. of Mich. Sentiment	May	48.80	49.80	

Source: Bloomberg, Crédit Agricole CIB

Exchange rate forecasts

		29-Apr	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27
USD Exchange rate									
Industrialised countries									
Euro	EUR/USD	1.17	1.14	1.12	1.13	1.13	1.14	1.16	1.17
Japan	USD/JPY	160.4	156.0	156.0	154.0	154.0	152.0	148.0	147.0
United Kingdom	GBP/USD	1.35	1.32	1.30	1.31	1.32	1.34	1.37	1.39
Switzerland	USD/CHF	0.79	0.82	0.84	0.84	0.84	0.83	0.81	0.80
Canada	USD/CAD	1.37	1.39	1.37	1.35	1.34	1.33	1.32	1.32
Australia	AUD/USD	0.71	0.73	0.71	0.70	0.70	0.72	0.74	0.74
New Zealand	NZD/USD	0.58	0.60	0.62	0.63	0.65	0.64	0.64	0.64
Euro Cross rates									
Industrialised countries									
Australia	EUR/AUD	1.64	1.56	1.58	1.61	1.61	1.58	1.57	1.58
Canada	EUR/CAD	1.6	1.585	1.534	1.526	1.514	1.516	1.531	1.544
Japan	EUR/JPY	187.21	177.84	174.72	174.02	174.02	173.28	171.68	171.99
New Zealand	EUR/NZD	2.0	1.900	1.806	1.794	1.738	1.781	1.813	1.828
Norway	EUR/NOK	10.90	11.10	10.90	10.70	10.50	10.40	10.30	10.20
Singapore	EUR/SGD	1.5	1.448	1.422	1.424	1.424	1.425	1.450	1.451
Sweden	EUR/SEK	10.88	11.00	10.80	10.60	10.50	10.60	10.50	10.40
Switzerland	EUR/CHF	0.92	0.93	0.94	0.95	0.95	0.95	0.94	0.94
United Kingdom	EUR/GBP	0.87	0.87	0.86	0.86	0.86	0.85	0.84	0.84
Asia									
China	USD/CNY	6.84	6.80	6.78	6.72	6.70	6.70	6.66	6.60
Hong Kong	USD/HKD	7.84	7.82	7.80	7.78	7.76	7.76	7.75	7.75
India	USD/INR	94.85	93.00	94.00	94.00	92.00	92.00	90.00	90.00
Indonesia	USD/IDR	17275	17000	17100	16950	16850	16800	16700	16600
Malaysia	USD/MYR	3.95	3.88	3.86	3.84	3.82	3.82	3.82	3.82
Philippines	USD/PHP	61.6	59.6	59.0	58.6	58.3	58.0	57.9	57.4
Singapore	USD/SGD	1.28	1.27	1.27	1.26	1.26	1.25	1.25	1.24
South Korea	USD/KRW	1488	1460	1460	1450	1440	1435	1430	1425
Taiwan	USD/TWD	31.6	31.4	31.3	31.1	30.9	30.8	30.8	30.6
Thailand	USD/THB	32.7	32.5	32.8	33.0	33.0	32.8	32.5	32.0
Vietnam	USD/VND	26355	26300	26350	26250	26200	26200	26100	26000
Latin America									
Brazil	USD/BRL	5.00	5.15	5.20	5.25	5.30	5.35	5.40	5.45
Chile	USD/CLP	905.77	910.00	900.00	890.00	880.00	870.00	860.00	850.00
Colombia	USD/COP	3621.40	3750.00	3800.00	3850.00	3900.00	3950.00	4000.00	4100.00
Mexico	USD/MXN	17.52	17.50	17.75	18.00	18.25	18.50	18.75	19.00
Peru	USD/PEN	3.52	3.45	3.50	3.55	3.60	3.65	3.70	3.75
Africa									
South Africa	USD/ZAR	16.81	17.20	17.20	17.00	16.80	16.60	16.60	16.60
Emerging Europe									
Poland	USD/PLN	3.65	3.75	3.78	3.72	3.70	3.66	3.59	3.55
Russia	USD/RUB	75.05	82.00	84.00	86.00	86.00	86.00	86.00	86.00
Turkey	USD/TRY	45.11	46.00	47.00	48.00	48.50	49.00	50.00	51.00
Central Europe									
Czech Rep.	EUR/CZK	24.38	24.40	24.00	23.60	23.40	23.10	22.80	22.60
Hungary	EUR/HUF	363	360	355	353	350	347	344	340
Poland	EUR/PLN	4.26	4.27	4.23	4.20	4.18	4.17	4.16	4.15
Romania	EUR/RON	5.10	5.09	5.09	5.09	5.09	5.09	5.09	5.09
Precious Metals									
Gold	USD/oz	4617	5080	5090	5100	5200	5300	5400	5500

Source: Crédit Agricole CIB

Economic forecasts

	Real GDP (YoY. %)			CPI (YoY. %)			Current Account (% GDP)		
	25	26	27	25	26	27	25	26	27
USA	2.1	2.2	1.9	2.7	3.2	2.3	-3.8	-3.5	-3.4
JAPAN	1.2	0.5	1.0	3.0	1.9	1.7	4.0	3.0	3.0
EUROZONE	1.5	0.8	1.1	2.1	3.1	2.1	2.4	1.6	1.6
Belgium	1.0	0.4	0.5	3.0	3.1	2.1	-0.4	-0.8	-1.0
France	0.9	0.9	0.9	0.9	2.3	1.6	0.1	-1.0	-0.3
Germany	0.4	0.5	0.8	2.3	3.2	2.5	5.8	4.7	4.9
Italy	0.7	0.3	0.6	1.6	2.5	1.9	1.1	1.1	0.3
Netherlands	1.9	1.3	1.0	3.0	3.1	2.7	9.1	8.6	10.3
Spain	2.8	2.0	1.6	2.7	3.5	2.7	3.2	2.8	1.7
Other developed countries									
Australia	2.1	2.2	2.3	3.3	3.0	2.6	-2.1	-2.3	-2.6
Canada	1.1	1.5	1.8	2.0	2.1	2.0	-0.8	-1.0	-1.7
New Zealand	1.9	2.4	2.6	2.2	2.1	2.1	-3.6	-3.4	-3.4
Norway	1.2	1.3	1.3	3.0	3.2	2.4	14.2	12.1	9.2
Sweden	1.5	2.2	1.7	0.7	0.5	1.7	5.8	4.4	4.7
Switzerland	1.0	1.3	1.1	0.1	0.6	0.7	7.0	7.0	7.1
United Kingdom	1.3	0.8	1.2	3.4	3.2	2.6	-2.4	-4.0	-4.3
Asia	5.2	5.0	4.8	1.0	2.0	2.1	2.7	2.6	2.4
China	5.0	4.7	4.5	0.0	1.1	1.0	3.2	3.0	2.8
Hong Kong	3.2	3.1	3.0	1.5	1.8	2.0	13.5	11.2	9.5
India	7.0	7.0	6.7	2.6	4.2	4.5	-1.0	-1.2	-1.2
Indonesia	5.0	4.8	4.9	2.0	2.5	2.8	-1.0	-1.0	-1.3
Korea	1.1	2.1	2.1	2.1	2.1	1.8	6.1	5.9	5.9
Malaysia	4.2	4.5	4.3	2.0	2.2	2.0	1.9	1.8	1.8
Philippines	4.7	4.7	6.0	1.6	2.4	3.3	-2.3	-1.3	-2.3
Singapore	5.0	3.6	2.5	0.9	2.2	2.0	16.7	17.2	17.0
Taiwan	8.6	5.1	3.0	1.7	1.8	1.8	17.5	16.8	15.5
Thailand	2.0	1.5	2.6	-0.1	0.6	1.2	3.2	3.4	4.2
Vietnam	6.9	6.9	6.6	3.3	3.5	3.3	5.1	5.3	6.0
Latin America	2.5	2.0	2.0	3.4	3.2	3.2	-0.5	-0.8	-0.9
Brazil	2.3	1.7	1.8	5.0	4.3	4.0	-3.0	-2.6	-2.4
Chile	2.3	1.8	2.1	4.2	3.4	3.4	-2.3	-1.6	-1.5
Colombia	2.6	2.8	1.9	5.1	4.8	4.6	-2.4	-2.5	-2.2
Mexico	0.6	0.9	1.2	3.8	3.9	3.8	-0.4	-0.5	-0.4
Peru	3.4	2.4	2.2	1.5	2.0	2.2	3.1	1.2	0.5
Emerging Europe	1.5	1.8	1.8	7.0	5.3	5.0	0.4	0.2	0.2
Czech Republic	2.5	2.2	2.2	2.5	3.0	2.8	0.7	0.3	0.2
Hungary	0.4	2.0	2.3	4.4	4.5	3.4	1.5	0.5	1.0
Poland	3.6	3.3	3.0	3.6	3.2	3.9	-0.7	-1.3	-1.3
Romania	0.7	0.8	1.8	7.3	7.0	4.2	-8.0	-7.5	-7.0
Russia	1.0	1.4	1.4	8.7	6.0	5.8	1.8	1.7	1.6
Turkey	3.4	3.4	3.7	36.0	24.0	19.0	-1.5	-1.5	-2.0
Africa & Middle East	3.1	2.2	3.6	11.6	10.1	9.0	1.0	0.5	0.0
Algeria	3.3	3.1	2.9	1.4	6.0	5.5	-3.0	-3.0	-3.8
Egypt	4.4	4.8	5.2	20.9	12.0	9.6	-4.4	-4.3	-3.9
Iran	0.3	1.2	1.5	40.0	35.0	33.0	1.4	1.2	0.8
Kuwait	2.5	-4.0	4.5	2.3	3.0	2.7	26.5	17.5	17.0
Morocco	4.5	4.1	4.2	0.7	3.5	2.8	-2.3	-2.6	-2.6
Qatar	2.6	-6.0	7.0	0.5	3.5	2.0	15.5	8.0	13.0
Saudi Arabia	4.5	4.0	4.5	2.1	2.5	2.0	-3.1	-0.5	-3.0
South Africa	1.1	1.2	1.7	3.2	3.5	3.5	-0.5	-1.1	-1.0
Tunisia	2.3	1.8	1.6	5.5	7.5	6.0	-2.7	-3.3	-3.2
United Arab Emirates	4.8	-0.3	4.0	1.5	3.0	2.0	13.2	8.0	8.0
Total	3.1	2.9	2.9	3.5	3.6	3.1	0.9	0.6	0.5
Industrialised countries	1.7	1.4	1.5	2.5	2.9	2.2	-0.3	-0.7	-0.8
Emerging countries	4.3	4.0	4.0	4.3	4.1	3.8	1.8	1.6	1.4

Notes:

(1) CPI – for UK: HICP; for Brazil: IPCA

(2) India – fiscal year ending in March

Source: Crédit Agricole CIB

Interest rate forecasts – developed countries

	29-Apr	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27
EUR								
Refi rate	2.15	2.65	2.90	2.90	2.90	2.90	2.65	2.65
Depo rate	2.00	2.50	2.75	2.75	2.75	2.75	2.50	2.50
ESTR	1.93	2.44	2.69	2.70	2.70	2.70	2.45	2.45
3M Euribor	2.15	2.70	2.80	2.85	2.85	2.65	2.50	2.30
Germany								
2Y	2.71	3.03	2.95	2.97	2.91	2.74	2.71	2.61
5Y	2.82	3.01	3.04	3.04	3.00	2.87	2.90	2.81
10Y	3.10	3.14	3.20	3.23	3.25	3.16	3.20	3.14
30Y	3.58	3.63	3.65	3.68	3.76	3.70	3.77	3.71
France								
2Y	2.85	3.27	3.17	3.17	3.09	2.91	2.87	2.76
5Y	3.18	3.50	3.50	3.47	3.40	3.26	3.28	3.18
10Y	3.76	3.99	4.00	3.98	3.96	3.85	3.88	3.80
30Y	4.57	4.81	4.76	4.73	4.76	4.68	4.75	4.66
Italy								
2Y	2.96	3.37	3.25	3.23	3.14	2.95	2.91	2.79
5Y	3.32	3.70	3.65	3.58	3.48	3.32	3.33	3.20
10Y	3.95	4.19	4.15	4.10	4.05	3.92	3.95	3.85
30Y	4.70	4.99	4.90	4.84	4.85	4.75	4.82	4.72
Spain								
2Y	2.82	3.22	3.12	3.13	3.05	2.87	2.84	2.73
5Y	3.05	3.42	3.40	3.36	3.29	3.13	3.14	3.03
10Y	3.57	3.78	3.79	3.79	3.78	3.67	3.70	3.62
30Y	4.26	4.55	4.51	4.50	4.54	4.45	4.52	4.44
Belgium								
10Y	3.59	3.86	3.88	3.88	3.87	3.77	3.80	3.73
Ireland								
10Y	3.34	3.43	3.48	3.51	3.52	3.43	3.47	3.41
Portugal								
10Y	3.52	3.73	3.73	3.72	3.71	3.60	3.63	3.55
Finland								
10Y	3.47	3.50	3.54	3.56	3.56	3.46	3.50	3.43
Greece								
10Y	3.88	4.11	4.07	4.03	4.00	3.88	3.91	3.82
Sweden								
Repo		1.75	1.75	2.00	2.00	2.00	2.00	1.75
Norway								
Deposit	4.00	4.00	4.00	4.25	4.25	4.25	4.00	4.00
EUR swaps								
2Y	2.88	3.30	3.15	3.11	3.03	2.85	2.81	2.69
5Y	2.93	3.20	3.17	3.13	3.06	2.92	2.93	2.83
10Y	3.11	3.22	3.22	3.20	3.18	3.05	3.08	3.00
30Y	3.17	3.15	3.20	3.27	3.28	3.17	3.22	3.15
GBP								
Bank Rate	0.00	4.00	4.00	4.00	4.00	3.75	3.50	3.25
Sonia	0.00	3.50	3.50	3.50	3.50	3.50	3.50	3.50

Note: 3M rates are interbank, 2Y and 10Y rates are government bond yields

Source: Crédit Agricole CIB

Interest rate forecasts – developed countries (cont.)

	29-Apr	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27
USD								
FF target	3.75	3.75	3.75	3.75	3.75	3.50	3.50	3.50
FF effective	3.64	3.61	3.61	3.61	3.61	3.36	3.36	3.36
SOFR	3.64	3.63	3.63	3.63	3.63	3.38	3.38	3.38
USTs								
2Y	3.89	3.95	3.90	3.85	3.80	3.65	3.70	3.70
5Y	4.03	4.00	4.00	4.10	4.05	3.95	4.00	4.00
10Y	4.40	4.35	4.40	4.55	4.55	4.50	4.50	4.45
30Y	4.98	4.90	4.90	4.95	4.95	4.90	4.90	4.85
USD swaps								
2Y	3.71	3.78	3.73	3.69	3.64	3.49	3.54	3.54
5Y	3.71	3.69	3.69	3.80	3.75	3.66	3.71	3.72
10Y	3.93	3.87	3.93	4.09	4.10	4.06	4.07	4.03
30Y	4.19	4.07	4.08	4.14	4.15	4.11	4.12	4.08
JPY								
Call rate	0.00	0.75	0.75	1.00	1.00	1.25	1.50	1.75
JGBs								
2Y	1.38	1.25	1.35	1.60	1.70	1.85	2.00	2.20
5Y	1.86	1.70	1.80	2.05	2.15	2.30	2.45	2.60
10Y	2.47	2.30	2.40	2.65	2.75	2.80	2.85	3.00
30Y	3.65	3.55	3.60	3.65	3.70	3.75	3.80	3.80
Canada								
Overnight	0.00	2.25	2.25	2.25	2.25	2.25	2.25	2.25

Note: 3M rates are interbank, 2Y and 10Y rates are government bond yields

Source: Crédit Agricole CIB

FX Research advanced tools

With Red Mount Analytics, we are setting a new standard for market intelligence

G10 FX Inflation Macro Rates Market

1 - Gamma Calendar and Market Monitors

FX Action at a Glance

FX Gamma Calendar

FX Market Liquidity

FX Vol Monitor

2 - Forecasts

Advanced FX Forecasts

3 - Relative Value

FX Carry Trades

FX Over and Undervaluations

Historical Short-Term Fair Values

4 - Flows and Positioning

FX Positioning

5 - Fundamentals

De-Dollarisation

FX Fundamental Drivers

Risk Index

FX gamma calendar & Market monitors:

What are the key FX events ahead and how to position ahead of the next NFP or Fed/ECB meeting?
What is the FX CARDIOGRAM?

What are the key trends and the main movers in FX spot, forward and option markets?

Advanced FX forecasts:

Where are the FX market heading? How do our forecasts compare to consensus?
How accurate have our FX forecasts been?

Relative Value:

What is the EUR fair value vs the USD, JPY and GBP? Are commodity currencies cheap or expensive?

What are the best FX carry trades?

How to build a tailored FX carry trade and track its performance over time?

FX Flows and positioning:

What are the biggest longs and shorts in the FX markets?

How are FX corporates positioned?

What are hedge funds and real money buying and selling?

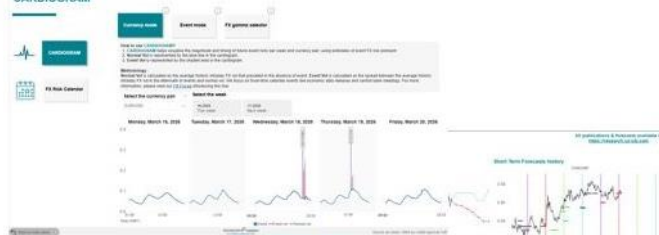
FX fundamentals:

What are the key FX drivers at present – relative rate spreads or market risk sentiment?

Are the FX markets in risk-on or risk-off mood?

What's the latest on de-dollarisation?

CARDIOGRAM



G10 FX G10 FX Carry trade selector



G10 FX EUR Crosses



Source: RMA by Crédit Agricole CIB

Red Mount Analytics

Complex markets require the most advanced and powerful tools...



Source: RMA by Crédit Agricole CIB

Our new [interactive data website](#) features:

- 25bn data points
- over 4,500 interactive charts
- over 1,000 proprietary models
- over 250 use cases
- over 150 thematic reports
- 9 product classes (eg, EM, FX, Sustainable, Credit)
- 6 categories (eg, flows, fundamentals, RV)
- 90% exclusive content
- AI modelling

Global Markets Research contact details

Jean-François Paren Head of Global Markets Research +33 1 41 89 33 95

	Asia (Hong Kong, Singapore & Tokyo)		Europe (London & Paris)		Americas (New York)
Macro Strategy	Takuji Aida Chief Economist Japan +81 3 4580 5360	Ken Matsumoto Macro Strategist Japan +81 3 4580 5337	Louis Harreau Head of Developed Markets Macro & Strategy +33 1 41 89 98 95	Valentin Giust Global Macro Strategist +33 1 41 89 30 01	Nicholas Van Ness ** US Economist +1 212 261 7601
Interest Rates			Guillaume Martin Interest Rates Strategist +33 1 41 89 37 66 Riccardo Lamia Interest Rates Strategist +33 1 41 89 63 83	Jean-François Perrin Senior Inflation Strategist +33 1 41 89 73 49 Matthias Loise Inflation Strategist +33 1 41 89 20 06	Alex Li ** Head of US Rates Strategy +1 212 261 3950
Emerging Markets	Xiaojia Zhi Chief China Economist Head of Research, Asia ex-Japan +852 2826 5725 Eddie Cheung CFA Senior Emerging Market Strategist +852 2826 1553	Jeffrey Zhang Emerging Market Strategist +852 2826 5749 Yeon Jin Kim Emerging Market Analyst +852 2826 5756	Sébastien Barbé Head of Emerging Market Research & Strategy +33 1 41 89 15 97		Olga Yangel ** Head of Emerging Market Research & Strategy, Americas +1 212 261 3953
Foreign Exchange	David Forrester Senior FX Strategist +65 6439 9826		Valentin Marinov Head of G10 FX Research & Strategy +44 20 7214 5289	Alexandre Dolci FX Strategist +44 20 7214 5064	
Quant Research			Alexandre Borel Data Scientist +33 1 57 87 34 27		

** employee(s) of Crédit Agricole Securities (USA), Inc.

Certification

The views expressed in this report accurately reflect the personal views of the undersigned analyst(s). In addition, the undersigned analyst(s) has not and will not receive any compensation for providing a specific recommendation or view in this report.

Valentin Marinov, David Forrester, Alexandre Dolci

Important: Please note that in the United States, this fixed income research report is considered to be fixed income commentary and not fixed income research. Notwithstanding this, the Crédit Agricole CIB Research Disclaimer that can be found at the end of this report applies to this report in the United States as if references to research report were to fixed income commentary. Products and services are provided in the United States through Crédit Agricole Securities (USA), Inc.

Foreign exchange disclosure statement to clients of CACIB

https://www.ca-cib.com/sites/default/files/2017-02/2016-05-04-cacib-fx-disclosure-april-2016_0.pdf

Additional recommendation obligations – available from analyst(s) upon request:

- A list of all the recommendation changes on any financial instrument or issuer disseminated within the last 12 months.
- Where Crédit Agricole CIB is a market-maker or liquidity provider in the financial instruments of the issuer.

Valuation and methodology

Based on their expertise, each analyst defines the information that is relevant to produce their recommendations. This information may change over time. All recommendations focus on FX instruments, either G10 FX spot or G10 FX derivative markets. Crédit Agricole CIB is currently disclosing investment recommendations either at the issuer level, at the financial instrument level or at the country level. Credit Agricole CIB investment recommendations are based on a risk and reward analysis:

- Risk analysis may be conducted at the financial instruments level. Among the information normally used to define the risks, are (1) publications produced by other research teams within Crédit Agricole CIB (Economics, FX, Credit Research, Emerging Markets), (2) country analysis, (3) regulatory filings; (4) regular discussions with relevant stakeholders such as experts or regulatory bodies or (5) any other publicly available sources.
- Reward analysis is usually based on valuation models. Valuation may be based on proprietary models or external models provided by sources considered as reliable (eg, Bloomberg). Among other factors, valuation models may be based on relative value models, quantitative models, cross-asset models.
- Investment recommendations may also be based on other technical aspects, including positioning flows and observing the market and underlying movements in particular instruments or issuers. This analysis will take into account key criteria such as market liquidity of the financial instrument at the time of production of the recommendation.

Any change in recommendation is disclosed via specific documents indicating both the new and the previous recommendation and the rationale backing the change.

Credit Agricole CIB expressly disclaims any responsibility for: (i) the accuracy of the models or estimates used in deriving the recommendations; (ii) any errors or omissions in computing or disseminating the valuations; and (iii) any uses to which the recommendations are put. Any valuation provided may be different from the valuation of the same product that Credit Agricole CIB may use for its own purposes, including those prepared in its own financial records.

MiFID II contact details

Andrew Taylor
MiFID II Research contact
andrew.taylor@ca-cib.com

Please send your questions on
MiFID II to:
research.mifid2@ca-cib.com

Disclaimer

© 2026, CRÉDIT AGRICOLE CORPORATE AND INVESTMENT BANK All rights reserved.

This research report or summary has been prepared by Crédit Agricole Corporate and Investment Bank or one of its affiliates (collectively "Crédit Agricole CIB") from information believed to be reliable. Such information has not been independently verified and no guarantee, representation or warranty, express or implied, is made as to its accuracy, completeness or correctness.

This report is provided for information purposes only. Nothing in this report should be considered to constitute investment, legal, accounting or taxation advice and you are advised to contact independent advisors in order to evaluate this report. It is not intended, and should not be considered, as an offer, invitation, solicitation or personal recommendation to buy, subscribe for or sell any of the financial instruments described herein, nor is it intended to form the basis for any credit, advice, personal recommendation or other evaluation with respect to such financial instruments and is intended for use only by those professional investors to whom it is made available by Crédit Agricole CIB. Crédit Agricole CIB does not act in a fiduciary capacity to you in respect of this report.

Crédit Agricole CIB may at any time stop producing or updating this report. Not all strategies are appropriate at all times. Past performance is not necessarily a guide to future performance. The price, value of and income from any of the financial instruments mentioned in this report can fall as well as rise and you may make losses if you invest in them. Independent advice should be sought. In any case, investors are invited to make their own independent decision as to whether a financial instrument or whether investment in the financial instruments described herein is proper, suitable or appropriate based on their own judgement and upon the advice of any relevant advisors they have consulted. Crédit Agricole CIB has not taken any steps to ensure that any financial instruments referred to in this report are suitable for any investor. Crédit Agricole CIB will not treat recipients of this report as its customers by virtue of their receiving this report.

Crédit Agricole CIB, its directors, officers and employees may have financial interests or may effect transactions (whether long or short) in the financial instruments described herein for their own accounts or for the account of others, may have positions relating to other financial instruments of the issuer thereof, or any of its affiliates, or may perform or seek to perform securities, investment banking or other services for such issuer or its affiliates, within the regulatory framework set by Article 37 of Delegated Regulation (EU) 2017/565. Crédit Agricole CIB may have issued, and may in the future issue, other reports that are inconsistent with, and reach different conclusions from, the information presented in this report. Without prejudice to the requirements arising from Article 4 of Delegated Regulation (EU) 2016/958, Crédit Agricole CIB is under no obligation to ensure that such other reports are brought to the attention of any recipient of this report. Crédit Agricole CIB has established a "Policy for Managing Conflicts of Interest" which is available upon request. A summary of this policy is published on the Crédit Agricole CIB website [conflict of interest | Crédit Agricole CIB](#). This policy also applies to the investment research activity.

None of the material, nor its content, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party without the prior express written permission of Crédit Agricole CIB. To the extent permitted by applicable securities laws and regulations, Crédit Agricole CIB accepts no liability whatsoever for any direct or consequential loss arising from the use of this document or its contents.

France: Crédit Agricole Corporate and Investment Bank is authorized and regulated by the Autorité de Contrôle Prudentiel et de Résolution ("ACPR") and supervised by the European Central Bank ("ECB"), the ACPR and the Autorité des Marchés Financiers ("AMF"). Crédit Agricole Corporate and Investment Bank is incorporated in France with limited liability. Registered office: 12, Place des Etats-Unis, CS 70052, 92 547 Montrouge Cedex (France). Companies Register: SIREN 304 187 701 with Registre du Commerce et des Sociétés de Nanterre. United Kingdom: Crédit Agricole CIB is authorised and regulated by the Autorité de Contrôle Prudentiel et de Résolution (the "ACPR") and supervised by the European Central Bank (the "ECB"), the ACPR and the Autorité des Marchés Financiers (the "AMF") in France. Crédit Agricole CIB London Branch is authorised by the Prudential Regulation Authority and subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. Details about the extent of our regulation by the Financial Conduct Authority and the Prudential Regulation Authority are available from Crédit Agricole CIB London on request. Crédit Agricole Corporate and Investment Bank is a public limited company ("société anonyme") under French law, incorporated in France under SIREN number 304187701 at the Nanterre Trade and Companies Registry, with limited liability and its head office address at 12, Place des États-Unis, CS 70052, 92547 Montrouge Cedex, France. It is registered in England and Wales as an overseas company at Companies House under company number FC008194, with a UK establishment at Broadwalk House, 5 Appold Street, London, EC2A 2DA, United Kingdom (UK establishment number BR001975). United States of America: This research report is prepared by Crédit Agricole Corporate and Investment Bank and is distributed in the United States solely to persons who qualify as "Major U.S. Institutional Investors" as defined in Rule 15a-6 under the Securities and Exchange Act of 1934 and who deal with Crédit Agricole Corporate and Investment Bank. This report does not carry all of the independence and disclosure standards of a retail debt research report or a research report prepared by a U.S. broker-dealer. Recipients of this research in the United States wishing to effect a transaction in any security mentioned herein should do so by contacting Crédit Agricole Securities (USA), Inc. (a broker-dealer registered with the Securities and Exchange Commission ("SEC") and the Financial Industry Regulatory Authority ("FINRA"). The delivery of this research report to any person in the United States shall not be deemed a recommendation of Crédit Agricole Securities (USA) Inc. to effect any transactions in the securities discussed herein or an endorsement of any opinion expressed herein. This report shall not be re-distributed in the United States without the consent of Crédit Agricole Securities (USA) Inc. Italy: Crédit Agricole Corporate and Investment Bank is authorised and regulated by the Autorité de Contrôle Prudentiel et de Résolution (the "ACPR") and supervised by the European Central Bank (the "ECB"), the ACPR and the Autorité des Marchés Financiers (the "AMF") in France. Crédit Agricole Corporate and Investment Bank Milan Branch is subject to supervision by the Bank of Italy and by the Commissione nazionale per le società e la borsa ("CONSOB"). This report is not intended, and should not be considered, as an offer, invitation, solicitation or recommendation to buy or sell any of the financial instruments described herein. This report is not intended, and should not be considered, as advice on investments in securities under the Consolidated Financial Law (Legislative Decree No. 50 of 24 February 1998) and can only be distributed to, and circulated among, professional investors (controparti qualificate), as defined by the relevant Italian securities legislation. Spain: This report may only be distributed to professional investors (as defined in Article 194 of Law 6/2023, of 17 March, of the Securities Markets and the Investment Services, and Article 112 of Royal Decree 813/2023, of 8 November, on the legal regime for investment services firms and other entities providing investment services) and cannot be distributed to other investors that do not fall within the category of professional investors. Hong Kong: Distributed by Crédit Agricole Corporate and Investment Bank, Hong Kong branch, an authorized financial institution registered with the Securities and Futures Commission for Type 1 (dealing in securities), Type 4 (advising on securities) and Type 6 (advising on corporate finance) regulated activities with Central Entity Number AAK816. This research report has not been reviewed or authorised by any regulatory authority in Hong Kong and is available only for professional investors within the meaning of the Securities and Futures Ordinance (Cap.571) and its subsidiary legislations. Japan: Distributed by Crédit Agricole Securities Asia B.V. which is registered for financial instruments business in Japan pursuant to the Financial Instruments and Exchange Act (Act No. 25 of 1948), and is not intended, and should not be considered, as an offer, invitation, solicitation or recommendation to buy or sell any of the financial instruments described herein. This report is not intended, and should not be considered, as advice on investments in securities which is subject to the Financial Instruments and Exchange Act (Act No. 25 of 1948). Singapore: Crédit Agricole Corporate and Investment Bank, Singapore branch ("CACIB SG") may distribute information/research produced by its head office Crédit Agricole Corporate and Investment Bank incorporated in France, pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. Credit Agricole Corporate and Investment Bank only distributes to accredited, expert, or institutional investors (in each case, as defined in the Securities and Futures Act 2001).

Switzerland: This report is provided only to institutional clients and/or professional clients within the meaning of the Swiss Financial Services Act and in strict compliance with applicable Swiss law. This document is not a prospectus within the meaning of Swiss Financial Services Act. The products mentioned in this document may not be suitable for all types of investors. Germany: This report may only be distributed to institutional investors. Australia: Distributed to wholesale investors only. This research, and any access to it, is intended only for "wholesale clients" within the meaning of the Australian Corporations Act.

THE DISTRIBUTION OF THIS DOCUMENT IN OTHER JURISDICTIONS MAY BE RESTRICTED BY LAW, AND PERSONS INTO WHOSE POSSESSION THIS DOCUMENT COMES SHOULD INFORM THEMSELVES ABOUT, AND OBSERVE, ANY SUCH RESTRICTIONS. BY ACCEPTING THIS REPORT, YOU AGREE TO BE BOUND BY THE FOREGOING.

09/12/25